AIRFRANCEKLM GROUP

Half Year Report

January 1st, 2026 – June 30, 2026

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First Half Year Activity Report

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1.1 ACTIVITY

1.1.1 STRATEGY

Economic Growth

Real GDP growth (%)	2025	**2026**
World	3.5	**3.0**
Euro Area	1.4	**0.9**
Of which France	*0.9*	**0.6**
Of which Netherlands	*1.8*	**1.0**
Latin America and Caribbean	2.4	**2.4**
Sub-Saharan Africa	4.5	**4.3**
United States	*2.1*	**2.3**
China	5.0	**4.6**
Japan	1.2	**0.6**

Source[1]

In the first six months of 2026, the global economy was impacted by the outbreak of war in the Middle East at the end of February. The war impacted commodity markets, inflation expectations, and financial conditions, ultimately having impact on worldwide growth.

According to IMF's reference forecast, global growth is projected to be 3.0% in 2026, slower than the GDP growth of about 3.5% in 2025.

Advanced economies' growth is forecasted to be 1.7% in 2026, 0.2 point lower than in 2025. Growth in the United States is projected to be 2.3%, 0.2 point higher than in 2025. For euro area, growth is forecasted to be 0.9% in 2026, lower than its 2025 level (1.4%).

In emerging markets and developing economies, growth is expected to slow down from 4.5% in 2025 to 3.8% in 2026, with China's projected growth rate decreasing from 5.0% in 2025 to 4.6% in 2026.

Oil price

Brent (US$/bbl)	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2
Average Brent price	75.8	68.0	69.0	63.6	80.2	103.3
Average jet fuel price	93.5	84.0	89.0	89.3	111.9	152.8

Source[2]

In the first half of 2026, both Brent and jet fuel prices rose sharply, reflecting increased geopolitical tensions in the Middle East region and supply concerns from that region, which was in particular impacted by the blockage of the Strait of Hormuz for a long period of time in Q2 2026. Brent increased from USD 63.6 per barrel in Q4 2025 to USD 103.3 in Q2 2026, while jet fuel surged from USD 89.3 to USD 152.8 per barrel. Brent jet fuel crack spread[3], which had seen a steady increase since Q2 2025, continued to rise more significantly, as the Arabian-Persian Gulf area is the main exporter of the jet fuel.

Currency Exchange Rates

For one Euro *(average)*	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2
USD	1.05	1.13	1.17	1.16	1.17	1.16
GBP	0.84	0.85	0.87	0.88	0.87	0.87
CHF	0.95	0.94	0.94	0.93	0.92	0.92
CNY	7.66	8.20	8.36	8.25	8.10	7.91
JPY	160.5	163.8	172.3	179.2	183.6	185.3

Source[4]

[1] Source: World Economic Outlook, IMF, July 2026. (https://www.imf.org/en/publications/weo/issues/2026/07/08/world-economic-outlook-update-july-2026)
[2] Source: Europe Brent Spot Price and U.S. Gulf Coast Kerosene-Type Jet Fuel Spot Price, EIA, July 7, 2026. (https://www.eia.gov/dnav/pet/pet_pri_spt_s1_m.htm)
[3] The difference in price between Brent crude and jet fuel
[4] Source: ECB Data Portal, ECB, July 2026.

The trends of exchange rates for euro against major currencies were broadly mixed: euro was generally stable against GBP and CHF, and had some turbulences against USD and CNY, while JPY depreciated.

Industrial context

Several events impacted the airline industry in 2025 and in the first half year of 2026. Persistent geopolitical instability forced airlines to reroute and/or suspend fights. Ongoing supply chain disruptions continued to put pressure on deliveries of new aircraft and operational availability. In addition, various merger attempts worldwide progressed, contributing to a dynamic consolidation trend in 2026.

Geopolitical events

The ongoing Russian-Ukrainian war continues to impact air transport, particularly on Europe-Asia routes. Russian airspace can no longer be used by many airlines, causing longer routings and route closures.

The Middle East crisis persists with multiple conflicts occurring simultaneously. In particular, the conflict in the Gulf region caused airspace closure and a strong fall of passenger traffic in the first half year of 2026. Meanwhile, crude oil price and jet fuel saw their price increase due to the infrastructure related to oil industry being impacted by armed conflict and the closing of Strait of Hormuz. Air fares for trip between Europe and South Asia, South-East Asia and beyond increased as a result of the conflict in the Gulf .

Supply chain

By the end of June 2026, 1,429 aircraft were delivered for passenger and cargo usage in the past 12 months, slightly more than in 2024 (1,214) and 2019 (1,318), but far less than in the peak year 2018 (1,722)[1]. Meanwhile, the new aircraft order backlog surpassed 17,855 at the end of June 2026, an industry record high[2].

Additionally, the aviation industry is struggling with a spare parts shortage, driven by supply chain issues, increased demand and manufacturing delays, leading to grounded aircraft and disruption to maintenance operations. The issue with Pratt Whitney engine was one of the most important, directly impacting the delivery of several Airbus aircraft.

Consolidation

Consolidation attempts are evident across the world in 2026: in Asia, the Asiana brand is expected to disappear by the end of 2026 following it being merged by Korean Air; in North America, Spirit ceased operations; in Latin America, Abra, result of the merger between Avianca, Gol, and the Spanish Wamos Air, expressed their intention to complete its takeover of Chilean low-cost carrier SKY airline and is awaiting the last regulatory approvals.

Consolidation efforts have also occurred in Europe: Lufthansa Group announced its plan to extend its share acquired in ITA Airways from 41% to 90%; IAG decided not to pursue the acquisition of a minority stake in TAP Air Portugal, which left Air France-KLM and Lufthansa Group as the only potential buyers.

Worldwide capacity and traffic

For air passenger market, in the first five months of 2026, global traffic, measured by revenue passenger kilometers (RPK), increased by 1.1%. In the same period, global passenger capacity, measured by available seat kilometers (ASK), recorded a slight 0.3% increase year-on-year, which resulted into an increase of 0.7 point in passenger load factor.[3]

For air cargo market, in the first five months of 2026, global air cargo demand, measured by cargo tonne kilometers (CTK), expanded by 4.1% year-on-year. In the same period, global cargo capacity, measured by available cargo tonne kilometers (ACTK), increased by 1.5% year-on-year, substantially below the pace of demand growth, resulting in higher cargo load factors than in 2025.[4]

[1] Source: Cirium, data query including all jets for passenger or cargo usage aged less than 1 year on Jun 30th 2026
[2] Source: Cirium, data query including all jets for passenger or cargo usage on order at Jun 30th 2026
[3] Source: Air Passenger Market Analysis May 2026, IATA (https://www.iata.org/en/iata-repository/publications/economic-reports/air-passenger-market-analysis-may-2026/)
[4] Source: Air Cargo Market Analysis May 2026, IATA (https://www.iata.org/en/iata-repository/publications/economic-reports/air-cargo-market-analysis-may-2026/)

1.1.2 BUSINESS REVIEW

Network result

Network	Second Quarter 2026	change	change constant currency	First Half-Year 2026	change	change constant currency
Traffic revenues (€m)	7,297	+9.3%		13,301	+6.6%	
Pax traffic revenue	6,692	+7.9%		12,192		
Cargo traffic revenue	604	+27.6%		1,109	+11.5%	
Total revenues (€m)	**7,606**	**+9.7%**		**13,907**	**+7.1%**	
Salaries and related costs (€m)	-1,797	+4.0%		-3,517	+3.1%	
Aircraft fuel, excl. ETS (€m)	-2,028	+45.4%		-3,241	+14.4%	
Other operating expenses (€m)	-2,763	+4.9%		-5,418	+4.2%	
Depreciation & Amortization (€m)	-552	+8.3%		-1,102	+5.8%	
Adjusted Operating Profit (€m)	**466**	**-204**	**-134**	**629**	**+134**	**+159**
Operating margin (%)	6.1%	-3.5 pt		4.5%	+0.7 pt	

Compared to the second quarter of 2025, total revenues increased by 9.7% to €7.6 billion. The adjusted operating profit reached €466 million, down €134 million year-on-year at constant currency. The decrease is fully driven by the increase in unit cost and increase in ETS cost.
Due to the geopolitical issues in the Middle East the fuel price spiked in March, but given the delay in pricing, this increase was visible in the second quarter. Thanks to active passenger yield management and benefits from increased demand, mainly on non-stop Asia, India and East Africa routes due to Gulf hub avoidance, and thanks to strong Cargo unit revenues, the fuel price impact was fully offset for the Network business.

Cargo showed a positive unit revenue development compared to last year due to strong industry demand and increased pricing following the rising fuel price.
The operating margin of the Network business amounted to 6.1%, a decrease of 3.5 points compared to the second quarter of 2025.

Premium and long haul demand continued to support strong yields

Passenger network	Second Quarter 2026	change	change constant currency	First Half-Year 2026	change	change constant currency
Passengers (thousands)	19,811	+0.3%		37,036	+0.1%	
Capacity (ASK m)	71,681	+1.7%		139,364	+2.2%	
Traffic (RPK m)	62,298	+1.1%		120,738	+2.1%	
Load factor	86.9%	-0.5pt		86.6%	-0.1pt	
Total passenger revenues (€m)	6,895	+8.2%	+10.7%	12,593	+6.8%	+9.4%
Traffic passenger revenues (€m)	6,692	+7.9%	+10.5%	12,192	+6.6%	+9.3%
Unit revenue per ASK (€ cts)	9.34	+6.2%	+8.7%	8.75	+4.3%	+7.0%

During the second quarter of 2026, capacity in Available Seat Kilometers (ASK) was 1.7% higher than last year. Traffic growth (1.1%) has led to a slightly lower load factor of 86.9%. Yield at constant currency showed an increase of 9.2%, leading to a unit revenue increase of 8.7% year-on-year at constant currency. The yield increase was mainly driven by the front cabins (La Premiere, Business) with a double-digit growth and Premium yield growth of 9.1%. Yield in the economy class was up 6.1%.

During the second quarter we observed the following trends in:

North Atlantic
Unit revenue was up, driven by a strong 8.9% yield increase. The performance was particularly strong in front cabins, despite significant capacity growth.

Latin America
Capacity grew by 4.5% while unit revenue grew on the back of a healthy yield development (+5.5%), and broadly stable load factor.

Asia & Middle East
The Group's capacity to Middle East was reduced by 80% while Asia showed a modest growth of almost 4%, resulting in a total capacity reduction of 4%. Asia benefits from Gulf hub avoidance, in particular in India. This effect is however decreasing with Gulf carriers capacity close to pre-war levels. Yield growth year-on-year amounted to 20.3%.

Caribbean & Indian Ocean
Yield in this region grew by 11%, supported by some attractive destinations. Load factor benefited as well with an increase of 1 point compared to the same period last year.

Africa
Strong performance driven by a yield increase of 8.6%, however the load factor went down by 2.2 points. East & South Africa benefit from Gulf Hub avoidance.

Short and Medium-haul
Geopolitical dynamics continued to drive high-yielding long-haul connecting traffic. This was complemented by strong local close-in demand for European and domestic routes for Air France. Strategic initiatives also contributed significantly, including the successful transfer of part of the ORY short-haul seat to CDG, supported by long-haul connecting traffic as well as strong corporate demand.

Cargo: very strong unit revenue development

Cargo business	Second Quarter			First Half-Year		
	2026	change	change constant currency	2026	change	change constant currency
Tons (thousands)	237	+8.9%		472	+6.4%	
Capacity (ATK m)	3,718	+2.9%		7,281	+2.9%	
Traffic (RTK m)	1,828	+11.3%		3,588	+7.5%	
Load factor	49.2%	+3.7pt		49.3%	+2.1pt	
Total Cargo revenues (€m)	711	+25.7%	+28.3%	1,313	+10.5%	+14.8%
Traffic Cargo revenues (€m)	604	+27.6%	+30.9%	1,109	+11.5%	+11.5%
Unit revenue per ATK (€cts)	16.26	+24.0%	+26.7%	15.23	+8.4%	+12.6%

Global air cargo capacity started to normalize towards the end of Q2, as Middle East disruption eased, Gulf hub capacity was restored and operational pressure reduced. However, demand continued to outpace capacity growth on several key lanes, keeping the market relatively tight.
In 2026's second quarter, the Group's Cargo business achieved an impressive increase of revenue per ATK against a constant currency of 26.7%. Since the Middle East conflict started, reduced industry capacity and strong industry demand, fueled by demand for semiconductors and AI-related hardware, increased the Group's yield by 17.2% and load factor by 3.7pt to 49.2%. Cargo carried 237 million kilograms, representing a 8.9% increase year-on-year. The capacity grew 2.9%, despite limitations in full freighter capacity due to scheduled and unscheduled maintenance and traffic increased by 11.3% year-on-year.

Transavia: positive unit revenue development insufficient to mitigate fuel price increase

Transavia	Second Quarter		First Half-Year	
	2026	change	2026	change
Passengers (thousands)	8,506	+13.3%	13,583	+12.5%
Capacity (ASK m)	15,312	+7.3%	26,194	+9.7%
Traffic (RPK m)	13,965	+9.3%	23,326	+10.6%
Load factor	91.2%	+1.7pt	89.1%	+0.7pt
Unit revenue per ASK (€cts)	6.97	+1.6%	6.27	-0.7%
Unit cost per ASK (€cts)[1]	6.93	-2.5%	7.28	-15.5%
Total Passenger revenues (€m)	**1,057**	**+11.7%**	**1,628**	**+10.6%**
Salaries and related costs (€m)	-231	+9.4%	-436	+8.6%
Aircraft fuel, excl. ETS (€m)	-306	+50.1%	-448	+25.1%
Other operating expenses (€m)	-430	+7.2%	-772	+11.0%
Depreciation & Amortization (in €m)	-125	+10.7%	-237	+19.5%
Adjusted Operating Profit (€m)	**-35**	**-52**	**-265**	**-84**
Operating margin (%)	-3.3%	-5.2pt	-16.3%	-4.0pt

In the second quarter, Transavia's capacity in Available Seat Kilometers grew 7.3%, while traffic increased by 9.3%, resulting in an increase in load factor of 1.7 point. Yield remained broadly stable, resulting in a unit revenue increase of 1.6%.

The capacity growth is accompanied by focused actions on unit cost reduction and network profitability, in a highly competitive environment. Transavia France and Transavia Netherlands are both currently in the middle of a fleet transition from B737 to the A320-NEO family. Due to the geopolitical situation, Transavia cancelled flights to and from Israel, Lebanon and Saudi Arabia and experienced negative booking trends to nearby destinations like Egypt, Cyprus and Turkey.

Transavia France results are temporarily impacted by taking over Air France operations at Orly which was completed by the end of the first quarter.

Maintenance business: continued growth in third party revenues

Maintenance	Second Quarter		First Half-Year	
	2026	change	2026	Change
Total Revenues (€m)	1,418	+2.9%	2,807	+0.7%
o/w Third party revenues (€m)	*615*	*+9.5%*	*1,224*	*+6.2%*
External expenses (€m)	-905	+0.9%	-1,823	-0.3%
Salaries and related costs (€m)	-336	+9.5%	-663	+4.6%
Depreciation & Amortization (€m)	-116	+12.5%	-202	-0.7%
Adjusted Operating Profit (€m)	61	+1	120	-3
Operating margin (%)	4.3%	0.0pt	4.3%	-0.1pt

In the second quarter, the third-party revenues went up 9.5% and total revenues increased by 2.9%. The supply chain remains highly disrupted, particularly as a result of GE90-related challenges and the geopolitical situation, slowing margin improvement. The adjusted operating profit and the operating margin remained at the same level as last year.

Joint venture Air France-KLM and Aercap

Air France Industries KLM Engineering & Maintenance and AerCap Holdings N.V. have announced the signing of an agreement to establish a 50/50 LEAP engine leasing joint venture to support the growing demand for LEAP spare engines. The joint venture follows the memorandum of understanding announced at the Paris Air Show in 2025, and is subject to the necessary approvals by the relevant authorities.

The joint venture will provide spare engine support to AFI KLM E&M customers operating LEAP-powered aircraft worldwide and is expected to initially acquire approximately 40 new CFM LEAP-1A and LEAP-1B spare engines. Deliveries are scheduled through 2032, with the first four LEAP engines expected to be available to AFI KLM E&M customers by early 2027.

[1] Against a constant fuel price, constant currency and excluding Emission Trading Scheme cost (ETS)

1.1.3 THE FLEET

At June 30, 2026, the Air France-KLM group fleet (hereafter, unless otherwise mentioned, the "Fleet") comprises 599 aircraft, of which 593 are in revenue service (compared to 596 and 586 respectively at December 31, 2025).

The "main fleet" consists of all Air France-KLM group aircraft, excluding aircraft from the regional fleets of HOP! and KLM Cityhopper.

At June 30, 2026, the "main operational fleet" comprises 501 aircraft (493 at December 31, 2025), consisting of:

- 188 long-haul aircraft (189 at December 31, 2025),
- 6 cargo (6 at December 31, 2025) and
- 307 medium-haul (298 at December 31, 2025), including 149 aircraft in the Transavia Group fleet (138 aircraft at December 31, 2025).

At June 30, 2026,, the "regional fleet in operation" comprises 92 aircraft (93 at December 31, 2025).

At June 30, 2026, the Fleet comprises 226 new-generation aircraft, 38.0% of the fleet in operation.

Fleet Age

At June 30, 2026, the average age of the aircraft in the operational Fleet is 11.3 years, split as:

- Long-haul fleet: 13,1 years,
- Medium-haul fleet: 10.1 years,
- Cargo fleet: 23.3 years,
- Regional fleet: 10.6 years.

This compares with an average age of the aircraft in the operational Fleet of 11.5 years at December 31, 2025 (for long-haul: 12.9 years; for medium-haul: 10.8 years; for cargo: 22.8 years; for regional: 10.5 years).

Fleet Ownership

At June 30, 2026:

- 34.6% of the total Group Fleet are fully owned (33.9% were at December 31, 2025),
- 15.2% are under finance lease (14.6% were at December 31, 2025) and
- 50.3% are under operating lease (51.5% were at December 31, 2025).

Orders and options

At June 30, 2026, there are firm orders outstanding for 190 aircraft (operational lease excluded), following deliveries of 18 owned aircraft. Options stand at 113 aircraft.

Additional purchase options or rights accompany firm purchase contracts signed with manufacturers. These options or rights can be converted into firm orders according to the contractual terms and are therefore an important element of flexibility in the medium-term management of the Group's Fleet.

Change in the Air France-KLM group's order book[1]	**December 31, 2025**	Deliveries during the period	New orders	Option conversions	**June 30, 2026**
Main fleet	205	18	–	–	187
Regional fleet	10	–	-7	–	3
TOTAL	**215**	**18**	**-7**	**–**	**190**

(1) Excluding operating leases.

Change in the Air France-KLM group's option portfolio[1]	**December 31, 2025**	Exercize during the period	Options cancelled or expired	New options	**June 30, 2026**
Main fleet	113		–		113
Regional fleet	–		–	–	–
TOTAL	**113**		**–**		**113**

(1) Excluding operating leases. Purchase Rights included. If exercised, options could be converted into firm orders.

Fleet management

Air France-KLM is pursuing an active policy of Fleet renewal and modernization, contributing to improved energy efficiency and a reduced environmental footprint.

Movements in the first half of 2026

Air France:

- Delivery of one new Airbus A350-900s and five Airbus 220-300s,
- Exit of six Airbus A320 family aircraft, two Airbus 330s .

HOP!:

- Exit of two Embraer 190s two Embraer 170s,
- Delivery of one Embraer 190.

Transavia France:

- Delivery of seven Airbus A320neos,
- Removal of one Boeing 737-800.

KLM:

- Delivery of one Boeing 787-10 and four new A321neos,
- Removal of two Boeing 737-800s and one Airbus A330-200.

KLM Cityhopper:

- Removal of three E190s.

Transavia Netherlands:

- Delivery of four new A321neos,
- Removal of one Boeing 737-800.

During the first semester of 2026, the entire Air France-KLM group took delivery of 22 new-generation aircraft. This ambitious fleet modernization will continue during the second semester of 2026 and the subsequent years, with deliveries of Airbus A321neo, A320neo and Airbus A220 aircraft to renew the medium-haul fleet, Embraer 195-E2 to renew the regional fleet, and Airbus A350 to renew the long-haul fleet.

The Air France-KLM fleet at June 30, 2026

	AF (incl. HOP!)	KL (incl. KLC & Martinair)	Transavia France	Transavia Netherlands	**Total**	Fully owned	Finance lease	Operating lease
Long-haul	**119**	**69**	**–**	**–**	**188**	**82**	**41**	**65**
777-300	43	16	–	–	59	34	8	17
777-200	18	15	–	–	33	29	1	3
A350-900	42	–	–	–	42	3	14	25
787-10	–	15	–	–	15	1	12	2
787-9	10	13	–	–	23	5	6	12
A330-300	–	5	–	–	5	–	–	5
A330-200	6	5	–	–	11	10	–	1
Medium-haul	**106**	**55**	**97**	**52**	**310**	**91**	**34**	**185**
737-900	–	5	–	–	5	5	–	–
737-800	–	28	67	34	129	34	7	88
737-700	–	6	–	–	6	6	–	–
A321	8	–	–	–	8	4	–	4
A320	36	–	–	–	36	4	3	29
A319	1	–	–	–	1	1	–	–
A318	4	–	–	–	4	4	–	–
A220-300	57	–	–	–	57	22	14	21
A320neo	–	–	30	–	30	4	1	25
A321neo	–	16	–	18	34	7	9	18
Regional	**36**	**59**	**–**	**–**	**95**	**30**	**16**	**49**
Embraer 190	26	17	–	–	43	17	2	24
Embraer 175	–	17	–	–	17	3	14	–
Embraer 170	10	–	–	–	10	10	–	–
Embraer 195 E2	–	25	–	–	25	–	–	25
Cargo	**2**	**4**	**–**	**–**	**6**	**4**	**–**	**2**
747-400BCF	–	1	–	–	1	1	–	–
747-400ERF	–	3	–	–	3	3	–	–
777-F	2	–	–	–	2	–	–	2
TOTAL AF-KLM	**263**	**187**	**97**	**52**	**599**	**207**	**91**	**301**

1.1.4 HIGHLIGHTS

26 March 2026 - Lucie Muniesa is appointed Executive Vice President, Corporate Secretary, Air France-KLM

Air France-KLM announces the appointment of Lucie Muniesa as Executive Vice President, Corporate Secretary of the Air France-KLM Group as of April 1st, 2026.

In this role, Lucie Muniesa will be a member of the Air France-KLM Group Executive Committee. She will report to Benjamin Smith, Chief Executive Officer of Air France-KLM.

As Corporate Secretary, Lucie Muniesa will oversee the Group's legal affairs, public affairs, and compliance. She will be responsible for ensuring the legal protection of the Group, coordinating institutional relations at the national and international levels, and steering the Group's regulatory compliance. She will also manage the Secretariat for the Board of Directors and its various committees.

Benjamin Smith, CEO of Air France-KLM said: "I am very pleased to welcome Lucie Muniesa to the Air France-KLM Group. She brings a wealth of experience from both the public and private sectors, having navigated complex economic and regulatory landscapes at the highest levels."

About Lucie Muniesa:
Lucie Muniesa has over 28 years of experience in public policy, finance and law. Throughout her career, she has held several high-level positions within the French administration and major economic institutions, notably Deputy Director General of the Agence des Participations de l'État (APE) at the Ministry of Economy and Finance.

She joins Air France-KLM from the Paprec Group, where she served as Executive Vice President for Sustainability, Compliance, and Institutional Affairs and was a member of the Group Executive Committee.

Lucie Muniesa is a graduate of ENSAE Paris (Administrator of INSEE) and holds a DEA in Industrial Economics and Microeconomics from Paris Panthéon-Sorbonne.

02 April 2026 - Air France-KLM submits a non-binding offer for the acquisition of a minority stake in TAP Air Portugal

Air France-KLM today completed a new step in the privatization process of TAP Air Portugal ("TAP"), with the submission of a non-binding offer (NBO).

Benjamin Smith, CEO of the Air France-KLM Group said: "We value what TAP has built over the last 81 years: a strong Lisbon hub, a strong brand, and a unique value proposition that provides connectivity and pride to millions of Portuguese people. We firmly believe that the next chapter of the airline's history should be written as part of the Air France-KLM Group, building on this legacy and taking TAP to the next level. TAP is a natural fit within Air France-KLM's multi-hub strategy, and our ambition is to strengthen the operations at Lisbon while developing connectivity in other cities across the country including Porto. We look forward to the next steps of the privatization process."

Thanks to its ideal geographical position, Lisbon would become the Group's unique Southern European hub, offering extensive connectivity notably to the Americas - including Brazil, a key market for both TAP and Air France-KLM, as well as Africa.

TAP would benefit from its integration into a worldwide commercial organization, covering Air France, KLM and Transavia, as well as close engagement with Delta Air Lines and Virgin Atlantic, Air France-KLM's partners within the transatlantic Joint Venture. This would help TAP achieve its vision of "embracing the world". As TAP and Air France-KLM operate largely complementary networks, Portugal as a whole would enjoy increased air connectivity.

Air France-KLM's unique approach to consolidation prioritizes cooperation within a clear framework designed to maximize economic and operational synergies. This model would enable TAP to fully benefit from a smooth integration into a larger, robust group, with economies of scale and a global reach, strengthening its competitiveness. Such cooperation would extend to all areas of business and would include a focus on decarbonization – a key strategic priority for Air France-KLM.

Air France-KLM has a strong track record in nurturing and growing historic brands and aims to allow the airline to stay true to its Portuguese heritage while leveraging that distinctive identity on the global stage. This would reinforce TAP's sustainable growth and regional development, while also safeguarding the connectivity for Portuguese diaspora, in line with the requirements set forth by the Portuguese government.

Air France-KLM also has extensive experience working alongside State shareholders and views such partnerships as a testament of aviation's strategic importance for a nation.

The NBO was submitted to Parpública on April 2, 2026. It confirms the Group's unaltered, strong and continued interest in TAP.

03 June 2026 - Fuel Availability: Air France, KLM and Transavia Will Be Able to Transport All Their Customers This Summer

To provide customers with more flexibility, the Air France-KLM Group's airlines have launched a promotional campaign for travel on departure from France, featuring fee-free ticket changes starting June 3, 2026(1).

The Air France-KLM Group's airlines (Air France, KLM and Transavia) are actively preparing for the summer peak season and assisting customers who have not yet booked their holiday travel.

While questions regarding fuel availability have attracted media attention since the spring, the information currently available enables the Group's airlines to confirm that they will be able to operate their flight schedule this summer.

Benjamin Smith, Chief Executive Officer, Air France-KLM, said: "Air France, KLM and Transavia will transport all their customers this summer. We are continuously monitoring fuel availability at the destinations we serve and, as highlighted by the French and Dutch governments in recent weeks, all indicators are positive for the July and August peak travel season. During this period, our airlines will operate nearly 2,200 daily flights to more than 320 destinations worldwide. Our teams are fully mobilized to welcome our customers, who already traveled in large numbers during the May public holiday periods in France and the Netherlands."

Alongside this announcement, and to provide their customers with more flexibility, Air France, KLM and Transavia are launching a promotional campaign for trips on departure from France starting on June 3, 2026(2), featuring tickets that can be changed free of charge, regardless of the fare selected or the travel cabin (Economy, Premium or Business for Air France and KLM). This unprecedented level of flexibility is being offered across all the Group's airlines. In addition, double Flying Blue miles will be awarded on all Economy long-haul flights operated by Air France, for all tickets booked during the campaign(3).

A similar campaign will be launched by KLM and Transavia in the coming days for travel originating in the Netherlands.

Regardless of the purchase date, and independently of this promotional campaign, Air France, KLM and Transavia will not apply any fare adjustments to bookings that have already been confirmed and paid for in the event of an increase in fuel costs. Customers can therefore book with confidence, without concern about unexpected additional charges.

[1] Tickets changeable once. Terms and conditions available on airfrance.com, klm.com and transavia.com

[2] Air France campaign from June 3 to June 17, 2026. Transavia campaign from June 3 to June 9, 2026.

[3] See conditions on airfrance.com

05 June 2026 - Air France-KLM: key decisions approved by the Shareholders' Meeting of June 3, 2026

The Air France-KLM Annual General Shareholders' Meeting was held on Wednesday June 3, 2026 at 14h30 at the Hilton Paris CDG Airport Hotel, 8 rue de Rome, 93290 Tremblay-en-France. It was broadcast live via webcast on the Air France-KLM website. It is also possible to watch it at any time on replay via the following link: https://voda.akamaized.net/airfrance/ag-2026-en/

During this Combined Ordinary and Extraordinary Shareholders' Meeting, where more than 6,367 shareholders were present or represented, all of the proposed resolutions were adopted. In addition to approving the financial statements for the year ended December 31, 2025 and allocating the net result, the Shareholders' Meeting adopted the following resolutions:

Appointments/Re-appointments:

Mrs. Florence Parly, Chair of the Board of directors of Air France-KLM, was re-appointed as a Board director for a four-year term of office (resolution 5);

Mr. Michel Delli-Zotti was re-appointed as Board director representing employee and former employee shareholders (category of line pilots and former line pilot shareholders) for a four-year term of office (resolution 6);

Mr. Nicolas Foretz was re-appointed as a Board director representing employee and former employee shareholders (category of ground staff and cabin crew employee and former employee shareholders) for a four-year term of office (resolution 7);

Acknowledgement of the expiry of the term of office of KPMG SA as Statutory Auditor responsible for the certification of financial statements and appointment of Deloitte & Associés as Statutory Auditor responsible for the certification of financial statements (resolution 8);

Acknowledgement of the expiry of the term of office of KPMG SA as Statutory Auditor responsible for the certification of sustainability-related information and appointment of Deloitte & Associés as Statutory Auditor responsible for the certification of sustainability-related information (resolution 9);

Approval of related party agreement and commitments relating to an amendment to the transatlantic joint venture agreement between Air France-KLM, Air France, KLM, Delta Air Lines Inc., and Virgin Atlantic Airways Ltd (resolution 4) ;

Compensation:

Approval of the information on the compensation of 2025 of each of the corporate officers required by Article L. 22-10-9 I of the French commercial Code (resolution 10);

Approval of the elements of compensation paid in the financial year 2025 or granted in respect of that financial year to Ms Anne-Marie Couderc in her capacity as Chair of the Board of Directors until June 4, 2025, to Ms Florence Parly in her capacity as Chair of the Board of Directors from June 4, 2025, and the Chief Executive Officer (resolutions 11,12 and 13);

Approval of the 2026 compensation policy of the non-executive corporate officers, the Chair of the Board of Directors and the Chief Executive Officer (resolutions 14 to 16).

Financial authorizations/delegations:

Authorization granted to the Board of Directors, with powers to subdelegate, to implement the share buyback program in accordance with the limits and conditions set out in the relevant resolution (resolution 17);

Approval of resolutions authorizing capital increase reserved for employees limited to 3% of the share capital (resolutions 18 and 19);

Authorization granted to the Board of Directors to reduce capital by canceling treasury shares (resolution 20).

Amendment of the Article of Incorporation:
Ratification of the amendment to paragraph 4 of Article 30 of the Articles of Incorporation relating to General Meetings, in order to bring it into compliance with the new regulatory provisions (resolution 21).

The detailed results of the voting and all the documentation relating to the Shareholders' Meeting are available on the Air France-KLM website (https://www.airfranceklm.com/en/finance/shareholders/shareholders-meeting).

June 17, 2026 - Air France-KLM announces that it has signed a new multi-purpose credit facility for €1 billion with a syndicate of 12 international banks

Air France-KLM has signed a new multi-purpose credit facility for an amount of €1 billion with a syndicate of 12 international banks. The facility, which can be drawn and redeemed at the issuer's full discretion, has an initial maturity in June 2028 and includes a one-year extension option at the lenders' discretion, potentially extending the maturity to June 2029.

The purpose of the facility is to refinance existing financial instruments including instruments associated with the group's M&A activity (subject to applicable closing conditions), which may arise from the second half of 2026.

This transaction further strengthens Air France-KLM's financial flexibility and complements the Group's existing liquidity resources and diversified funding structure.

The Group will pursue its financing strategy through bond issuances to meet its annual debt and hybrid redemptions, aiming to redeem hybrid instruments and simplify its balance sheet. By combining this facility with bond issues, the Group can diversify its sources of funding, whilst optimizing the timing and pricing of different financings based on most favorable market windows.

The facility benefits from attractive conditions reflecting the confidence of the Group's banking partners in Air France-KLM's current credit profile and financial trajectory. This new credit facility will not impact the Group's Gross Debt and Net Debt / Current EBITDA ratio, which stood at 1.5x at the end of March, in line with the Group's ambition of maintaining a leverage between 1.5x to 2.0x.

Natixis and Société Générale acted as Global Coordinators, with Natixis also serving as Documentation Agent. ABN AMRO Bank N.V, Banco Santander S.A, BNP Paribas, Commerzbank Aktiengesellschaft, Crédit Agricole Corporate and Investment Bank, Crédit Industriel et Commercial, HSBC Continental Europe, Industrial and Commercial Bank of China Europe S.A Paris Branch, ING Bank N.V, La Banque Postale, Natixis and Société Générale acted as MLA and Bookrunners for the facility.

25 June 2026 - Air France-KLM Announces the Successful Issuance of €500 Million Senior Notes under Its EMTN Program

Air France-KLM today successfully priced €500 million of Senior Unsecured Notes under its Euro Medium Term Note (EMTN) Program.

The notes have a 5-year maturity and carry a fixed annual coupon of 4.250% (with a yield of 4.318%).

The net proceeds from the transaction will primarily be used for general corporate purposes. This refinancing further supports Air France-KLM's ongoing balance sheet optimization by simplifying its capital structure, reducing funding costs, and increasing the proportion of senior debt in its capital structure.

The successful completion of this transaction further demonstrates investor confidence in Air France-KLM's credit quality and strategic direction.

The Group's long-term debt is rated BB+ by Standard & Poor's and BBB- by Fitch Ratings.

BNP Paribas, Citi and Crédit Agricole CIB acted as Global Coordinators, while Deutsche Bank, Goldman Sachs, ICBC, Santander and SMBC acted as Joint Active Bookrunners.

1.1.5 OUTLOOK AND SUBSEQUENT EVENTS

Outlook

FY 2026 capacity outlook revised , unit cost guidance unchanged

For 2026, the Group retains an agile approach and expects:

- Capacity up by +2% to +3% compared to 2025 (previously +2% to +4%).
- Unit cost1 up between 0% and +2%, including +0.5% from premiumization (unchanged).
- Net capital expenditures below €3bn (unchanged).
- Leverage ratio between 1.5x - 2.0x (unchanged).

Accounting notification

The Group has early adopted IFRS 18. Accordingly, the figures for the prior year have been restated to align with the current year's reporting under IFRS 18.

Subsequent events

07 July 2026 - Flying Blue honored at the 2026 Freddie Awards with four major distinctions

After being named the World's Best Loyalty Program for the second consecutive year by Point.me, Flying Blue, the Air France-KLM Group's loyalty program, once again stood out at the 2026 Freddie Awards, the global benchmark for the travel loyalty industry. Flying Blue won four major awards, including Program of the Year for the Europe/Africa region.

Each year, the Freddie Awards recognize the best airline and hotel loyalty programs worldwide.

For the Europe/Africa region, Flying Blue secured first and second place in the following categories:

- ***Program of the Year***
- ***Best Elite Program***
- ***Best Redemption Ability***
- ***Best Customer Service***
- ***Best Promotion - Silver medal for the "Turning Miles into Memories for 20 years" campaign***

This recognition is particularly meaningful, as it is based on votes cast directly by travelers. In 2026, more than 4.2 million frequent travelers participated in the Freddie Awards voting process, a record-breaking figure that highlights both the credibility and the international reach of these awards.

In an intensely competitive market, this achievement reinforces Flying Blue's position as a leading European airline loyalty program and reflects the Air France-KLM Group's commitment to placing innovation and customer experience at the heart of its loyalty strategy.

This momentum is reflected in a number of recently launched initiatives designed to make Flying Blue an even more integral part of its members' everyday lives. Among them, a new offer developed through the partnership with Apple now allows Flying Blue members to earn Miles when purchasing selected Apple devices and redeem them for future purchases or experiences. In total, more than 100 commercial partnerships are now active with leading brands such as Uber, Booking, and the SNCF (French national rail operator), demonstrating the program's strong momentum.

About Flying Blue:
Flying Blue, the loyalty program of the Air France-KLM Group, supports more than 35 million members in both their travels and everyday lives. Through a network of more than 40 airline and 100 commercial partners, it provides access to over 1,000 destinations worldwide. Members can earn and redeem Miles both while traveling and through everyday activities, thanks to features designed around their needs, including Family Miles pooling, monthly Promo Rewards, opportunities to earn Miles or contribute to the purchase of sustainable aviation fuel, and a status system based on Experience Points rather than spending alone. Named the World's Best Loyalty Program by Point.me for two consecutive years, Flying Blue stands out by focusing on what members truly value: greater flexibility, broader reach, and genuinely rewarding benefits.

July 9, 2026 - Half-year report and termination of the liquidity agreement signed between Air France-KLM and Rothschild Martin Maurel

Air France-KLM (Euronext Paris: FR001400J770 AF. PA) announces that it has terminated the liquidity agreement entered into on July 31, 2025 with Rothschild Martin Maurel. The termination took effect on June 30, 2026 after the close of trading.

It should be noted that, upon its implementation, on August 1, 2025, the following assets were held in the liquidity account:

- 0 Share
- €10,000,000

On the date of termination of this liquidity agreement, 30 June 2026, the following assets were held in the liquidity account:

- 0 Share
- €10,009,392

Under the liquidity agreement entrusted by Air France-KLM to Rothschild Martin Maurel, over the period from January 1, 2026 to June 30, 2026, was negotiated a total of:

	Number of transactions performed	Number of shares traded	Transactions amounts in €
Purchase	3,024	650,575	7,532,191.78
Sale	3,221	650,575	7,494,936.15

Under the liquidity agreement entrusted by Air France-KLM to Rothschild Martin Maurel, as of December 31, 2025, the following assets were held in the liquidity account:

- 0 Share
- €9,942,376

29 July 2026- Air France-KLM submits a binding offer for an up to 49.9% stake in TAP Air Portugal

Air France-KLM today announced it has submitted a binding offer to Parpública for the acquisition of a 44.9% to 49.9% stake in TAP Air Portugal, marking a decisive step in the airline's privatization process.

The Group's offer – underpinned by a strategic plan covering all parts of the business, including passenger transport, cargo, loyalty and Maintenance, Repair and Overhaul (MRO), aims to support the execution of TAP's strategy and the development of the Portuguese aviation industry.

As part of this strategic plan, Air France-KLM would notably develop MRO activities in Portugal alongside TAP Maintenance & Engineering, its partner for over 20 years. This would support technological development, create highly skilled jobs in Portugal and support the country's economic ambitions.

Delta Air Lines, Air France-KLM's joint-venture partner, supports and is aligned with this bid and shares the ambition to further increase Portuguese connectivity, notably on the North Atlantic market.

Air France-KLM today announced it has submitted a binding offer to Parpública for the acquisition of a 44.9% to 49.9% stake in TAP Air Portugal, marking a decisive step in the airline's privatization process. This offer takes the form of a comprehensive strategic plan to strengthen TAP, with detailed projections of job and value creation throughout Portugal.

The bid is welcomed by Air France-KLM joint venture partner and shareholder Delta Air Lines. Delta Air Lines' support and alignment reflects a shared ambition should TAP join Air France-KLM : to further strengthen Portugal's global connectivity, particularly on the North Atlantic.

Benjamin Smith, CEO of the Air France-KLM Group said:

"For the past three years, our teams have worked closely with Portuguese stakeholders to come up with our strongest proposal for TAP. What we have submitted today is not just a proposed price for an airline. It is a strategic, extensive, and comprehensive long-term plan for TAP and for Portugal as a whole. It is also a vision of where we would like to take this esteemed flag carrier, expanding on the legacy of what has been built by TAP's talented people over the past 81 years. Moreover, we are pleased to count on the support and alignment of our long-time partner Delta Air Lines. Our overarching goal to ensure long-term growth for TAP, not only in Lisbon but also in Porto and other cities in Portugal, and to do so sustainably, as part of a robust and international group determined to bring value to its airlines' home countries. Through this offer, Air France-KLM reaffirms its commitment to create a European global aviation champion, actively supporting European sovereignty."

Ed Bastian, CEO of Delta Air Lines said:

"Delta supports our joint venture partner Air France-KLM's proposed investment in TAP, which would enhance trans-Atlantic travel options and Portugal's role as an enhanced business and leisure destination. We're looking forward to seeing Air France-KLM and TAP grow across the Atlantic for years to come, providing more choice, better connectivity and a stronger network for travelers."

A long-term strategy for a stronger TAP and more connected Portugal

If selected, Air France-KLM would position Lisbon as its unique Southern European hub, reinforcing the Group's global network and expanding connectivity to key markets, particularly in the Americas and Africa. TAP's leading position on strategic routes to Brazil would be a strong complement to Air France-KLM's existing route portfolio, which is already connected to a dense domestic network in Brazil as part of a long-standing partnership with Brazilian carrier GOL.

Should it join Air France-KLM, TAP would enter into the Group's global commercial network, which covers Air France, KLM and Transavia. Following the confirmation of Air France-KLM as a successful bidder for the investment in TAP, Delta would promptly commence negotiations with TAP on a strategic commercial agreement involving, among other things, reciprocal codeshare and loyalty benefits. Delta would also share best practices to maximize customer experience for our joint customers. This enhanced level of commercial partnership would provide benefits to our joint customers by offering more options and a stronger network across the transatlantic.

Air France-KLM's unique approach to consolidation prioritizes cooperation within a clear framework designed to maximize economic and mutually beneficial operational synergies, with a strong focus on social dialogue. TAP would fully benefit from a smooth integration into a larger, robust group, with economies of scale and a global reach, thereby strengthening its competitive position. Such cooperation would extend to all business areas and include a focus on decarbonization, a key strategic priority for both Air France-KLM and TAP.

Fostering the development of MRO activities in Portugal alongside TAP Maintenance & Engineering

As part of the binding offer submitted today, Air France-KLM laid out its plan to develop new Maintenance, Repair and Overhaul (MRO) activities in Portugal, complementary to the continued development of the Group's own activities in France

1.1.6 RISK FACTORS

The risk factors to which the Air France-KLM Group is exposed are those outlined in the 2025 Universal Registration Document filed with the AMF on March 24, 2026 under the number D.26-0138 (Chapter 3 “Risk factors”). Except for what is following, the nature of these risks did not change significantly during the first half of 2026.

The section 3.1.1.3 Risks relating to changes in oil and fuel prices has been amended as follow :

3.1.1.3 Risks relating to fuel price volatility and supply availability

Description of the risk

The fuel bill is one of the largest cost items for airlines, making oil price volatility a significant risk for the air transportation industry:

- a sharp increase in the oil price can have a very material negative impact on the profitability of airlines, particularly if the economic environment does not enable them to adjust their pricing strategies;
- similarly, a sharp decline in fuel prices is generally favorable for airline profitability. However, the ability of airlines to pass on a sharp fall in the fuel price in their fares is a factor of significant uncertainty.
- Jet fuel refining is concentrated in only a few regions globally, which could lead to supply disruptions affecting Air France-KLM’s hubs and outstations.

The adoption of SAF is one of the solutions in the aviation sector’s decarbonization roadmap, and SAF mandates are gradually being introduced throughout Europe. SAF availability will become a critical risk in the coming years as it affects the ability to reduce carbon emissions and meet sustainability goals.

For more information on policies, actions, targets and performance metrics related to energy, please refer to section 4.2.1 ”Climate change (ESRS E1)”.

Impact

For the financial year ended December 31, 2025, the fuel bill amounted to €(6,180) million, representing a decrease of (8.3)% compared to the previous year due, in particular, to the drop in fuel prices in 2025 compared to 2024 and despite the growth in traffic observed in 2025.

The Air France-KLM Group has hedged its exposure to fuel price risk. As of 3 July, 2026, the Air France-KLM Group’s fuel price exposure for 2026 amounted to US$8,294 million (after hedging), based on futures prices at 3 July, 2026 (US$79.7 a barrel for full year 2026).

Based on the forward curve at July 3, 2026:

- an increase of US$10 per barrel over 2026 would give an average price of US$84.6 per barrel and would lead to a US$205 million increase in the fuel bill after hedging, i.e., a total fuel bill of US$8,528 million for the Air France-KLM Group in 2026;
- symmetrically, a fall of US$10 per barrel over 2026 would give an average price of US$75.9 per barrel and would lead to a US$223 million reduction in the fuel bill after hedging, i.e. a total expense of US$8,100 million in 2026.

A large-scale shortfall in production and distribution of SAF between 2026 and 2030, along with competition from other sectors that are also undergoing energy transitions, could result in higher costs. In addition, a shortage of SAF can impact an airline’s reputation, undermine customer confidence in its commitment to sustainability, and threaten the realization of the sustainability ambitions. The availability of SAF is therefore key to supporting the growth of the aviation industry while reducing its impact on the environment.

Mitigation plan

Where possible, the Group seeks to protect itself from any further increases in oil prices, while remaining protected against downwards risks, and adapts its fares when necessary to reduce the impact of rising fuel prices.

In addition to fare adjustments and permanent efforts to reduce fuel consumption, the Group has implemented a policy of systematically hedging the fuel price risk defined by the Risk Management Committee (the “RMC”). The policy has been presented to the Audit Committee and the Board of Directors of the Company.

The hedging strategy:

- sets the time span of the hedges;
- sets the target hedging ratios to be reached for the coming quarters; and
- defines the instruments (swaps, forwards, or options) eligible for hedging pursuant to the accounting standards in force.

In respect of the application of IFRS 9, hedging by component has been applied since January 1, 2018. Since the Group’s fuel procurement is strongly correlated to the Jet Kerosene Cargoes CIF NWE Index, components specific to this fuel risk are used (Brent ICE, Gasoil ICE, Jet CIF NWE) to align the fuel hedging accounting and the Group’s risk management policy more effectively.

Within the framework of a dynamic risk monitoring approach, the Group tracks the following indicators:

· maximum loss: capping of the potential maximum loss;

· maximum gain: value of the portfolio prompting its restructuring; and

· Value at Risk: which enables the measurement and monitoring of extreme risk scenarios. The level of this indicator is calculated and regularly analyzed, and may also trigger a restructuring of the portfolio.

In order to better cover the risk associated with the decoupling between indices reflecting the price of crude oil (Brent ICE) and indices reflecting the price of refined products (Gasoil ICE and Jet CIF NWE), the Air France-KLM Group incorporates hedging instruments on crack spreads.

The fuel hedging policy, in effect since the first quarter of 2024, was updated in late 2025 and took effect in the first quarter of 2026. The hedging strategy, previously based on a rolling 18-month period, has been extended to 24 months. The hedging portfolio now represents 87% of annual fuel consumption compared to 68% previously. This extension of the portfolio's maturity will allow the Air France-KLM Group to have better visibility on the evolution of its fuel costs.

Air France – KLM fully benefitted from this decision to adjust its hedge strategy, and entered the Middle-East crisis with a solid hedge portfolio.

The Risk Management Committee nevertheless decided in the course of March to suspend the implementation of the Group's hedging strategy, due to the significant uncertainty around the outcome of the conflict and its consequences on future jet prices.

At the end of June, following an easing of tensions and a drop in jet prices, the Risk Management Committee decided to partially resume the implementation of the hedging strategy; the Committee continues to monitor the situation closely, having met on a bi-monthly basis since the conflict began.

The hedge portfolio of Air France-KLM, as of July 3rd, was the following :

(in US$ million)	2026	2027	2028
Gross expenditure before hedging	9465	7870	7659
Hedge percentage	67%	40%	5%
Gain/(loss) on hedging	1171	207	5
Net expenditure after hedging	8294	7663	7654

In addition the Group ensures continuous monitoring of fuel availability across critical hubs and outstations, while reinforcing coordination with key fuel suppliers and airport operators to proactively anticipate and manage potential supply disruption risks.

To address the risk of difficulty in accessing a SAF supply, Air France-KLM proactively initiated a collaboration with potential suppliers at an early stage, signing its first contract (not related to a test flight) in 2015.

The Group manages a portfolio of consortia, projects, and initiatives, including long-term offtake agreements with various optional conditions to secure the volumes of SAF needed to meet its 2030 ambition.

Air France-KLM works with governments and industry organizations to increase the availability and stability of the SAF supply chain.

Finally, the Group supports the development of industry-wide standards and certification processes for SAF to increase confidence and help this new industry to emerge. To ensure that the SAF projects selected directly have a minimal impact on the environment, Air France-KLM maintains a strict due diligence on the sustainability of SAF sources and ensures that SAF is RSB- or ISCC-certified.

1.1.7 RELATED PARTIES

The information concerning related parties can be found in Note 31 to the consolidated financial statements.

1.2 CORPORATE GOVERNANCE

1.2.1 THE BOARD OF DIRECTORS

Composition of the Board of Directors at June 30, 2026

At June 30, 2026, the Board of Directors was composed of nineteen members, of whom:

- Sixteen Board directors appointed by the General Shareholders' Meeting[1];
- One representative of the French State appointed by ministerial decree[2] and
- Two representatives of the employees, one of whom appointed by the Comité de Groupe Français and the other appointed by the European Works Council[3].

During the first half of 2026, the composition of the Board of Directors saw a number of changes, as shown in the following table:

Departure	Appointment	Re-appointment
Céline Fornaro (1) May 29, 2026	**Arthur Faust** (2) May 29, 2026	**Florence Parly** (3) June 3, 2026
		Michel Delli-Zotti (4) June 3, 2026
		Nicolas Foretz (5) June 3, 2026

(1) Ms. Céline Fornaro's term of office as director ended on May 29, 2026.

(2) Mr. Arthur Faust was appointed as a director representing the French State by ministerial order dated May 29, 2026, replacing Ms. Céline Fornaro.

(3) Ms. Florence Parly's term of office as director was renewed by the Air France-KLM General Meeting of June 3, 2026, for a period of four years. At its meeting of November 5, 2025, the Board of Directors had decided to confirm Ms. Florence Parly in her role as Chair of the Board of Directors for the duration of her term of office, subject to the approval of her renewal by the Shareholders' Meeting.

(4) Mr. Michel Delli-Zotti's term of office as director representing employee shareholders (category of airline pilots and former airline pilot shareholders) was renewed by the Shareholders' Meeting of June 3, 2026, for a period of four years.

(5) Mr. Nicolas Foretz's term of office as director representing employee shareholders (category of employees and former employees in ground staff and cabin crew) was renewed by the Shareholders' Meeting of June 3, 2026, for a period of four years.

[1] Including two directors appointed upon the proposal of the French State, one director appointed upon the proposal of the Dutch State, Delta Air Lines (represented by Mr. Alain Bellemare), one director appointed upon the proposal of China Eastern Airlines, and two directors representing employee shareholders.

[2] In application of the provisions of Article 4 of Ordinance No. 2014-948 of August 20, 2014 on the governance and capital transactions of publicly-held companies.

[3] In application of the provisions of Articles L. 22-10-7 and L. 225-27-1 of the Code de Commerce and Article 17-3 of the Articles of Incorporation.

Composition of the Board of Directors on June 30, 2026

		Personal information				Experience	Position within the Board			Participation in Committees			
	Board directors	Gender	Nationality	Age	Number of shares	Directorships in listed companies	Date appointed	Expiry of term of office	Board experience	Audit Committee	Remuneration Committee	Appointments & Governance Committee	Sustainable Development & Compliance Committee
	BOARD DIRECTORS APPOINTED BY THE SHAREHOLDERS' MEETING												
○	**Florence Parly**	Female	French	63	110	2	12/7/2023	2030 AGM	2 years			Chair	
	Benjamin Smith	Male	Canadian	54	174 086	1	5/12/2018	2027 AGM	7 years				
○	**Gwenaëlle Huet**	Female	French	46	350	2	5/26/2021	2027 AGM	5 years	◣	◣		
○	**Leni M.T. Boeren**	Female	Dutch	62	1 600	1	5/16/2017	2029 AGM	9 years	◣			◣
○	**Isabelle Guichot**	Female	French	61	100	2	6/4/2025	2029 AGM	1 year	Chair	◣		
	Delta Air Lines (represented by Alain Belemarre)	N/A	US	N/A	7 340 118	2	10/3/2017	2029 AGM	8 years		◣		
	Wiebe Draijer	Male	Dutch	60	110	2	6/5/2024	2028 AGM	2 years				◣
	Dirk Jan Van Den Berg	Male	Dutch	72	400	1	5/26/2020	2028 AGM	6 years				◣
○	**Anne-Marie Idrac**	Female	French	74	100	1	11/2/2017	2027 AGM	8 years				Chair
○	**Véronique Penchienati-Bosetta**	Female	French	59	500	2	6/4/2025	2029 AGM	1 year				◣
	Qingchao Wan	Male	Chinese	53	110	2	6/4/2025	2029 AGM	1 year				
○	**Alexander R. Wynaendts**	Male	Dutch	65	100	3	5/19/2016	2028 AGM	10 years		Chair	◣	
	BOARD DIRECTORS APPOINTED BY THE SHAREHOLDERS' MEETING AS PROPOSED BY THE STATE												
	Yann Leriche	Male	French	53	N/A	2	6/7/2023	2027 AGM	3 years				
	Pascal Bouchiat	Male	French	66	N/A	2	10/3/2022	2027 AGM	3 years				◣
	BOARD DIRECTORS ELECTED BY THE SHAREHOLDERS' MEETING REPRESENTING THE EMPLOYEE SHAREHOLDERS												
	Nicolas Foretz	Male	French	47	319	1	7/27/2023	2030 AGM	3 years	◣			
	Michel Delli-Zotti	Male	French	62	777	1	5/24/2022	2030 AGM	4 years	◣			
	BOARD DIRECTOR REPRESENTING THE STATE APPOINTED BY MINISTERIAL DECREE												
	Arthur Faust	Male	French	34	N/A	2	5/29/2026	N/A	1 month	◣	◣	◣	
	BOARD DIRECTOR REPRESENTING THE EMPLOYEES APPOINTED BY THE COMITÉ DE GROUPE FRANÇAIS												
	Pierre Lichon	Male	French	63	N/A	1	6/4/2025	2027 AGM	1 year				◣
	BOARD DIRECTOR REPRESENTING THE EMPLOYEES APPOINTED BY THE EUROPEAN WORKS COUNCIL												
	Terence Tilgenkamp	Male	Dutch	43	N/A	1	12/3/2021	2027 AGM	4 years		◣		

○ *Independent Board directors.*

1.2.2 THE GROUP EXECUTIVE COMMITTEE

Chaired by the Chief Executive Officer of Air France-KLM, the Group Executive Committee is composed of twelve (12) members and a secretary of the Executive Committee.

Members at June 30, 2026
Benjamin Smith *Chief Executive Officer, Air France-KLM*
Steven Zaat *Chief Financial Officer, Air France-KLM*
Marjan Rintel *President & Chief Executive Officer, KLM*
Anne Rigail *Chief Executive Officer, Air France*
Oltion Carkaxhija *Executive Vice President Chief Operating Officer, Air France-KLM*
Adriaan den Heijer *Executive Vice President Chief Commercial Officer, Air France-KLM*
Pierre-Olivier Bandet *Executive Vice President Cargo, Air France-KLM*
Lucie Muniesa(1) *Executive Vice President Corporate Secretary, Air France-KLM*
Anne Brachet *Executive Vice President Engineering & Maintenance, Air France-KLM*
Caroline Hadrbolec *Executive Vice President Human Resources, Air France-KLM*
Henri de Peyrelongue *Executive Vice President SAS Integration, Air France-KLM*
Olivier Piette(2) *Executive Vice President Strategy and CEO Office, Air France-KLM*

(1) Ms. Lucie Muniesa has been appointed Executive Vice President Corporate Secretary, effective April 1, 2026.

(2) Mr. Olivier Piette has been appointed Executive Vice President Strategy and CEO Office, effective February 1, 2026.

Secretarial services to the Group Executive Committee are provided by the Air France-KLM Chief Executive Officer's Chief of Staff.

1.2.3 THE CEO COMMITTEE

The CEO Committee is chaired by Mr. Benjamin Smith, Chief Executive Officer of Air France-KLM, and has three other members: Ms. Anne Rigail (Chief Executive Officer of Air France), Ms. Marjan Rintel (President & Chief Executive Officer of KLM) and Mr. Steven Zaat, Chief Financial Officer of Air France-KLM.

The CEO Committee defines the strategic direction of all of the Group's airlines and operational entities.

1.2.4 CAPITAL AND SHAREHOLDER STRUCTURE

Share capital

The shares are fully paid up and shareholders can opt to hold them in either registered or bearer form. Since April 3, 2016, pursuant to law, shareholders holding their shares in registered form for at least two years benefit from a double voting right. There are no other specific rights attached to the shares. Furthermore, there are no securities not representing the share capital.

At June 30, 2026, the Air France-KLM share capital was composed of 262,769,869 shares with a nominal value of one euro:

Financial year ended	Amount of capital (in €)	Number of shares	Number of theoretical voting rights	Number of exercizable voting rights
June 30, 2025	262,769,869	262,769,869	370, 049, 931	369, 790, 085
June 30, 2026	262,769,869	262,769,869	375,181,682	374,951,359

Shareholder structure

The following table shows the changes in the Company's shareholder structure at June 30, 2026 relative to December 31, 2025:.

	% of the capital		% of exercizable voting rights[1]		% of theoretical voting rights[2]	
	June 30, 2026	December 31, 2025	June 30, 2026	December 31, 2025	June 30, 2026	December 31, 2025
Number of shares or voting rights	262,769,869	262,769,869	374,951,359	374,999,734	375,181,682	375,259,580
French State	27.98%	27.98%	28.92%	28.92%	28.90%	28.90%
Dutch State	9.13%	9.13%	12.80%	12.80%	12.79%	12.79%
CMA CGM	8.80%	8.80%	12.34%	12.34%	12.33%	12.33%
China Eastern Airlines[3]	4.58%	4.58%	6.41%	6.41%	6.41%	6.41%
Employees (FCPE)	2.97%	2.97%	4.13%	4.15%	4.13%	4.15%
Delta Air Lines, Inc.[4]	2.79%	2.79%	3.92%	3.91%	3.91%	3.91%
Spaak	0.85%	0.85%	1.20%	1.20%	1.19%	1.19%
Treasury stock[5]	0.06%	0.06%	—%	0.00%	0.00%	0.00%
Other	42.84%	42.84%	30.28%	30.27%	30.40%	30.32%

(1) The exercisable voting rights do not include the voting rights on treasury shares or shares that have been stripped of their voting rights due, in particular, to late notification of exceeding a threshold.
(2) The theoretical voting rights calculation takes into account all of the voting rights including double voting rights.
(3) Through Eastern Airlines Industry Investment (Luxembourg) Company Limited.
(4) Acting in the capacity of general partner of the partnership under Dutch law, DAL Foreign Holdings C.V. The company Delta Air Lines, Inc. controls DAL Foreign Holdings C.V. and, as general partner of DAL Foreign Holdings C.V. is the legal owner of the Air France-KLM shares.

Stock market performance

Air France-KLM shares are listed for trading on the Paris and Amsterdam Stock Markets (Euronext Paris and Amsterdam) under the ISIN code FR001400J770.
The stock is a component of the SBF 120. Since February 2008, Air France-KLM's ADR program (American Depositary Receipt) has been traded on the OTC Marketplace under the ticker AFLYV. The Reuters code for the stock is AIRF.PA or AIRF.AS and the Bloomberg code AF FP.

Pursuant to Article 222-1 of the Autorité des Marchés Financiers (AMF) General Regulation, since the registered office for Air France-KLM is located in France, its Home Member State, within the meaning of Directive 2004/109/EC of December 15, 2004, as amended (the Transparency Directive), is France. The AMF is consequently its competent market authority as regards ensuring compliance with its regulated information obligations.

Over the first semester of 2026, the Air France-KLM share price increased by 18.15 % (based on the share price of €11.57 on December 31, 2025).

Note: The values listed below are those of the closing price.

	January-June 2026	January-June 2025
Share price high *(in euros)*	**13.98**	14.93
Share price low *(in euros)*	**8.56**	7.05
Number of shares in circulation	**262,769,869**	262,769,869
Market capitalization at June 30 *(in billions of euros)*	**3,592,064,109**	3124,333,808



02

Financial report

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2.1 COMMENTS ON THE FINANCIAL SITUATION

2.1.1 CONSOLIDATED RESULTS AT JUNE 30, 2026

Scope at June 30, 2026

At June 30, 2026, the consolidation scope was composed of 82 fully consolidated companies, 23 companies consolidated using the equity method and one joint-venture. Air France-KLM and its two main subsidiaries, Air France and KLM, represent 87% of revenues and 66% of the balance sheet. The other subsidiaries are principally involved in air transportation (HOP!, KLM Cityhopper), maintenance and low-cost air transportation (Transavia).

As far as possible, the changes in the like-for-like figures have been estimated on a constant currency basis.

(in € million)	**2026**	2025 restated [1]	Change
Revenues	**16,756**	15,608	1,148
Adjusted operating profit	**478**	431	47
Operating profit or loss	**343**	944	(601)
Profit or loss before financing and income taxes	**511**	875	(364)
Profit or loss before income tax	**(58)**	577	(635)
Profit or loss	**(61)**	401	(462)
Net income/(loss), Group part	**(133)**	314	(447)
Basic earnings/(loss) per share, Group *(in €)*	**(0.62)**	1.09	(1.71)

(1) See Note 4 of the consolidated financial statements.

Revenues

Consolidated revenues for the period amounted to €16.8 billion, an increase of 7.4% and 9.8% on a constant currency basis. In 2026, revenue for each business increased. Revenues from Network business increased by 7.1%, Maintenance revenues by 0.7%, while third-party maintenance revenues increased by 6.2% and finally Transavia revenues by 10.6%.

Air France-KLM increased its overall capacity by 3.3% (ASK). Air France-KLM increased its passenger capacity by 2.2% (ASK) and its cargo capacity by 2.9% (ATK). Transavia's capacity increase stood at 9.7% (ASK).

The 2026 financial year was characterized by a strong unit revenue (RASK) increase of 6.3% compared to 2025 on a constant currency basis, explained by a positive performance of Passenger network (RASK 7.0%) and Cargo unit (RATK 12.6%), both benefitting from premiumization, reduced capacity as a result of the Middle East conflict and the implementation of company imposed surcharge. Transavia's unit revenue fell by (0.7)% due to higher capacity and competitive pressure.

Operating expenses

Operating expenses increased by 7.3% to €(16.3) billion.

The breakdown of external expenses was as follows:

Fuel Costs and emission charges

(in € million)	**2026**	2025 restated [1]	% ch.	% ch. at constant currency
Aircraft fuel	**(4,212)**	(2,983)	41.2 %	24.5%
Hedging income / (losses)	**643**	(91)	nm	
SAF	**(121)**	(118)	2.5%	
CO_2 quotas	**(197)**	(151)	30.5 %	32.5 %
TOTAL	**(3,887)**	**(3,343)**	**16.3%**	**1.7%**

(1) See Note 4 of the consolidated financial statements.

External expenses

(in € million)	2026	2025 restated [1]	% ch.	% ch. at constant currency
Chartering costs	**(182)**	(232)	(21.6) %	(17.7) %
Landing fees and air route charges	**(1,143)**	(1,116)	2.4 %	3.7%
Catering	**(479)**	(471)	1.7%	3.8%
Handling charges	**(1,157)**	(1,041)	11.1 %	13.0 %
Aircraft maintenance costs	**(1,742)**	(1,824)	(4.5%)	2.9%
Commercial and distribution costs	**(606)**	(568)	6.7%	9.4%
Other external expenses	**(1,061)**	(1,013)	4.7%	7.8%
TOTAL	**(6,370)**	**(6,265)**	**1.7%**	**2.9%**

(1) See Note 4 of the consolidated financial statements.

The Group's financial performance remains exposed to certain exogenous factors, in particular, changes in energy prices and exchange rates. These exposures are subject to regular monitoring and hedging policies aimed at limiting their volatility.

The main changes were as follows:

- aircraft fuel: the fuel expense for the year increase by 41.2%, compared to 2025, representing an increase of 24.5% at constant exchange rates. This variation is mainly explained by the geopolitical situation in the Middle East, which resulted in a significant increase in oil price;
- SAF: these expenses correspond to SAF purchased in particular under the EU SAF incorporation mandate and the SAF contracts made to corporate customers for their passenger and cargo traffic;
- CO_2 quotas: these expenses correspond to purchases of CO_2 emission quotas. The increase of 30.5%, is due to, rising costs,, an increase in capacity and the end of free allowances received under the EU ETS;
- chartering costs: the costs incurred in leasing aircraft capacity from other airlines. The costs have decreased strongly compared to 2025 (21.6%). This is explained by the difference in a decrease in wet leases, compared to 2025.
- landing fees and air-route charges: these costs are incurred for air navigation services and the use of airports. They increased compared to 2025 (2.4%) due to higher traffic and inflation
- catering costs: these costs comprise the services supplied on board the Air France-KLM Group's own aircraft. They increased by 1.7% compared to last year, due to capacity increases, inflationary pressures and product premiumization;
- handling charges and other operating costs: they principally cover aircraft handling on the ground and the cost of passenger care for the Group and, to a lesser extent for third-party customers. The increase in these costs (+11.1%) is mainly explained by the increase in capacity and by inflationary pressures;
- aircraft maintenance costs: they include maintenance procurement and consumption for the Group's aircraft and for the third-party activity; their increase at constant currency is linked to internal and third-party activities;
- commercial and distribution costs: these costs increased by 6.7%, due in particular to higher credit card commissions linked to higher ticket prices;
- other external expenses principally comprise telecommunications costs, insurance and fees.

Salaries and related costs were up by 3.5% to €5.0 billion versus €4.8 billion in 2025. This is mainly due to capacity and salary increases.

Taxes, other than income taxes, stood at €(107) million in 2026 versus €(102) million in 2025, up by 4.9%.

Capitalized production and other operating income amounted to €704 million as of June 30, 2026 (€855 million as of June 30, 2025) and mainly consisted of capitalized production totaling €600 million (€755 million as of June 30, 2025). In 2025 and 2026, the "Other operating income" include in particular indemnities received from suppliers to compensate operational issues supported by the Group.

Adjusted EBITDA

Adjusted EBITDA amounted to €2,034 million (versus €1,888 million at June 30, 2025).

The contributions to adjusted EBITDA by business segment were as follows:

(in € million)	**2026**	2025 restated [1]	% ch.
Network	**1,731**	1,536	12.7 %
Maintenance	**321**	326	(1.5%)
Transavia	**(28)**	18	nm
Other	**10**	8	25.0%
TOTAL	**2,034**	**1,888**	**7.7%**

(1) See Note 4 of the consolidated financial statements.

Amortization, depreciation and provisions

Amortization, depreciation and provisions totaled €(1,556) million in 2026 versus €(1,457) million in 2025.

Adjusted operating profit

The adjusted operating profit from current operations was positive to the tune of €478 million (versus €431 million at June 30, 2025).

The contributions to revenues and income/(loss) from current operations by business segment were as follows:

(in € million)	**2026**		2025 restated [1]	
	External revenues	**Adjusted operating profit**	External revenues	Adjusted operating profit
Network	**13,890**	**629**	12,965	495
Maintenance	**1,224**	**120**	1,153	123
Transavia	**1,626**	**(265)**	1,472	(181)
Other	**16**	**(6)**	18	(6)
TOTAL	**16,756**	**478**	**15,608**	**431**

(1) See Note 4 of the consolidated financial statements.

The nominal unit cost per ASK increased by 3.7% including a (2.4%) decrease on currency variation and a fuel price increase of 5.0%. Excluding these impacts, it resulted in a unit cost at constant currency, constant fuel and excluding ETS of 0.8%.

Operating profit

The result from operating activities amounted to €343 million versus €944 million in 2025.

Over the 2026 financial year, the operating profit includes mainly the impact of aircraft sales and leasebacks that represents a loss of €1 million (contrary to an income of €2 million in 2025).

These operations are detailed in Note 13 "Sales of aircraft equipment and non-current income and expenses" in the Notes to the consolidated financial statements.

As of June 30, 2026, the unrealized currency loss (operational) of €(138) million is composed of an unrealized loss of €(134) million on return obligation liabilities and provisions on aircraft in US dollars.

As of June 30, 2025, the unrealized currency gain of €518 million is composed of:

- an unrealized gain of €483 million on return obligation liabilities and provisions on aircraft in US dollars;
- an unrealized gain of €37 million on other assets and liabilities of the working capital resource mainly due to US dollars.

Profit or loss before financing and income taxes

Share of profits/(losses) from associates contributed a loss of €(15) million in 2026 versus a €(11) million loss in the previous year. This was principally the result of the contribution from SAS AB.

Profit or loss before income taxes

As of June 30, 2026, the foreign exchange result from financing activities includes an unrealized currency gain of €57 million composed of an unrealized gain of €122 million on Swiss Franc offset by a realized foreign exchange loss of the same amount related to KLM's repayment of the perpetual subordinated bond in Swiss francs issued in 1986 (see Note 2.1, "Significant events occurring during the period" and Note 27 "Financial liabilities"), an unrealized loss of €(44) on US dollar and an unrealized loss of €(16) on Japanese Yens.

As of June 30, 2025, the foreign exchange result from financing activities included an unrealized currency gain of €198 million composed of an unrealized gain of €207 million on US dollar, an unrealized gain of €19 million on Japanese Yens.

Profit or loss

Income taxes stood at expense of €(3) million in 2026 versus €(176) million in 2025.

The net result, Group part stood at a loss of €(133) million in 2026 versus an income of €314 million in 2025. The contributions to the net result by quarter were, respectively, €(251) million at March 31, 2026 and €190 million at June 30, 2026,

Basic earnings per share, Group part amounted to €(0.62) at June 30, 2026 versus €1.09 at June 30, 2025.

2.1.2 INVESTMENTS

(in € million)	2026	2025 restated (1)
Acquisition of subsidiaries, of shares in non-controlled entities	**(16)**	(11)
Purchase of property plant and equipment and intangible assets	**(1,910)**	(2,315)
Proceeds on disposal of property plant and equipment and intangible assets	**465**	573
Interest received	**84**	88
Dividends received	**1**	9
Decrease (increase) in net investments, more than 3 months	**255**	13
New loans	**(105)**	(146)
Repayment on loans	**356**	87
Realized Investing currency differences	**24**	(68)
NET CASH FLOW USED IN INVESTING ACTIVITIES	**(846)**	**(1,770)**

(1) See Note 4 of the consolidated financial statements.

The following significant operations have impacted the cash flow from investing activities in 2026:

Investments in flight equipment

Investment in flight equipment included advance payments and balances on the delivery of aircraft purchases, capitalized aircraft modifications, spare parts procurement and maintenance costs eligible for capitalization. Investment in intangible assets related to the purchase of software and capitalized IT development. Other investments in tangible assets mostly included the acquisition of industrial equipment for the flight operations, maintenance and IT.

During the 2026 financial year, the Air France-KLM Group's capital expenditure on tangible and intangible assets amounted to €(1,910) million and proceeds on disposals to €465 million.

The investments made contribute to the modernization of the Group's fleet as part of its Transition Plan, and to its preparation for upcoming regulatory and climate developments.

Agreement with Schiphol for relocation of several KLM locations at Schiphol Centre

On 29 May 2026, KLM and Schiphol signed an agreement for the future relocation of several KLM locations at Schiphol Centre, including KLM's cargo buildings, KLM's catering building and KLM's Topside office building to other locations at Schiphol.

This agreement is part of the renewal of the airport as stipulated in the Schiphol Centre Master Plan. For KLM this creates an opportunity to develop more modern working environments for the future.

The compensation from Schiphol to KLM is approximately €0.5 billion, of which €0.3 billion has been received up to date under agreed conditions. This deferred income is presented under "other financial liabilities" in the balance sheet as of 30 June 2026, and the payment received is presented under "proceeds from disposals of property, plant and equipment and intangible assets" in the cash flows statement.

The remaining €0.2 billion will be received by KLM when certain project milestones and conditions have been reached.

2.1.3 FINANCING

(in € million)	2026	2025 restated (1)
Payments to acquire treasury shares	**(1)**	(1)
Issuance of perpetual	**–**	494
Coupons on perpetual	**(55)**	(65)
Issuance of debt	**1,130**	314
Repayment on debt	**(1,440)**	(1,152)
Payments on lease debts	**(479)**	(487)
Interest paid	**(469)**	(418)
Dividends paid	**(1)**	(1)
Realized Financing currency differences	**(111)**	12
NET CASH FLOW FROM FINANCING ACTIVITIES	**(1,426)**	**(1,304)**

(1) See Note 4 of the consolidated financial statements.

The significant following operations have impacted the cash flow from financing activities in 2026:

Issuance of €650 million of bonds within the EMTN program

Air France-KLM has placed €650 million of senior unsecured bonds on January 8, 2026, with a maturity of 5 years and a fixed annual coupon of 3.875% (yield of 4.033%) under its EMTN program.

Repayment by KLM of the perpetual subordinated bond in Swiss francs issued in 1986

On May 15, 2026, KLM proceeds with a full repayment of the perpetual subordinated bond in Swiss francs issued in 1986 for an amount of CHF 270 million (approximately €300 million). The tranche issued in May 1985 remains recorded within the non-current financial liabilities.

Early redemption of €500 million sustainability-linked bonds issued in 2023

Air France-KLM has redeemed in full on April 30, 2026 the sustainability-linked bonds issued on January 16, 2023, bearing interest at 7.250% and maturing on May 31, 2026, for a total principal amount of €500 million, together with accrued interest and payment of the redemption premium of €750 per bond. This redemption was made in accordance with Condition 7.2.4 of the terms and conditions.

Early redemption of €282 million notes issued in 2021

Air France-KLM redeemed in full on May 4, 2026 the notes issued on July 1, 2021, bearing interest at 3.875% and maturing on July 1, 2026, for a total principal amount of €282 million, together with accrued interest. This redemption was made in accordance with Condition 5.c. of the terms and conditions.

New multi-purpose credit facility for €1 billion with a syndicate of 12 international banks

Air France-KLM has signed a new multi-purpose credit facility for an amount of €1 billion with a syndicate of 12 international banks. The facility, which can be drawn and redeemed at the issuer's full discretion, has an initial maturity in June 2028 and includes a one-year extension option at the lenders' discretion, potentially extending the maturity to June 2029.

This credit facility is undrawn as of June 30, 2026.

Group liquidity

Thus and as of June 30, 2026, the Group's net liquidity position amounted to €6.8 billion, including €0.7 billion of investments with maturities of above three months and €0.9 billion of bonds. In addition, the Group had credit facilities of €3.5 billion available at June 30, 2026.

Net debt

Net debt stood at €8.4 billion (€8.4 billion at December 31, 2025). The detailed net debt calculation can be found in Note 6.3 in the notes to the consolidated financial statements.

2.1.4 STRUCTURE AND PROFILE OF REIMBURSEMENT OF THE FINANCIAL DEBT

Structure of the financial debt

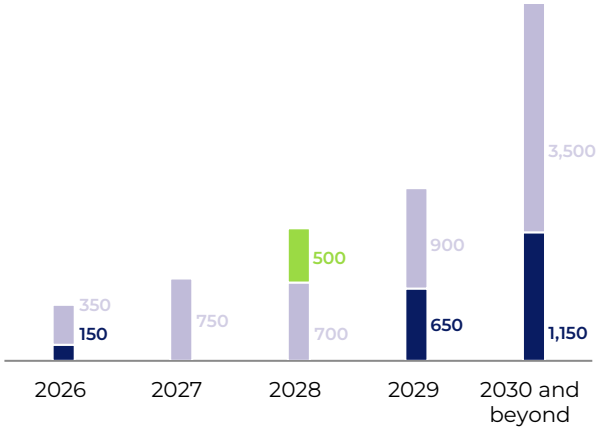
The Group's gross debt stood at €8.8 billion at June 30, 2026.

At June 30, 2026, the structure of the debt was as follows:

- market financing (bonds and perpetual subordinated loan stock): €2.6 billion;
- financial lease debt with bargain option: €4.5 billion;
- other borrowings including bank debt and accrued interest: €1.7 billion.

Reimbursement profile for debt and subordinated securities in € million[1]

The debt reimbursement maturities are progressive over time.



Air France-KLM obligations senior
December 2026: AFKL 4.35% ($145 million)
May 2029 : AFKL 4.625% (€650 million)
August 2030 : AFKL 3.75% (€500 million)
January 2031 : AFKL 3,875% (650 M€)

Other long-term Debt: Air France and KLM secure Debt
Mainly "Asset-backed"

Sustainability-Linked Bonds
May 2028: 8.125% (€500 million)

(1) Excluding operating lease debt payments, KLM perpetual debt, Air France perpetual quasi-equity, accrued interests.

2.1.5 MAIN FINANCIAL RATIOS OF THE GROUP

Financial cover ratios

Net debt/adjusted EBITDA ratio	**2026**	2025
Net debt	**8,376**	8,392
Adjusted EBITDA	**5,204**	5,058
NET DEBT/ADJUSTED EBITDA	**1.61**	**1.66**

Return on Capital Employed (ROCE)

Return on capital employed measures the return on invested capital by expressing a result after tax as a percentage of capital employed. The calculation methodology is as follows:

- the calculation of the capital employed is based on an additive method by identifying the relevant balance sheet items. The capital employed for the year is obtained by taking the average of the capital employed on every quarterly balance sheet;
- the adjusted result after tax corresponds to the sum of the operating result adjusted for dividends received and the share of profits/(losses) of associates.

(in € million)	**June 30, 2026**	March 31, 2026	December 31, 2025	September 30, 2025
Goodwill and intangible assets	1,444	1,434	1,422	1,390
Flight equipment	14,398	13,951	13,651	13,772
Other property, plant and equipment	1,792	1,745	1,679	1,617
Right-of-use assets	9,205	9,237	9,452	8,619
Investments in equity associates	235	247	246	257
Financial assets (loans and receivables)	234	228	228	212
Provisions for maintenance on leased aircraft and provisions for CO_2 quotas	(5,604)	(5,414)	(5,214)	(4,689)
Working capital[1]	(9,496)	(9,513)	(8,051)	(8,124)
Capital employed	**12,208**	**11,915**	**13,413**	**13,054**
Average capital employed (A)		**12,648**		
Adjusted operating profit and loss[2]		2,117		
Dividends received		(1)		
Share of profits/(losses) of associates		10		
Normative income tax		(549)		
Adjusted result from current operations after tax (B)		**1,577**		
ROCE (B/A)		**12.5%**		

(in € million)	June 30, 2025	March 31, 2025	December 31, 2024	September 30, 2024
Goodwill and intangible assets	1,390	1,377	1,375	1,356
Flight equipment	13,392	12,835	12,347	12,607
Other property, plant and equipment	1,587	1,554	1,533	1,500
Right-of-use assets	8,479	8,030	7,592	6,652
Investments in equity associates	205	212	216	240
Financial assets (loans and receivables)	214	217	217	232
Provisions for maintenance on leased aircraft and provisions for CO_2 quotas	(4,934)	(5,007)	(4,990)	(4,358)
Working capital[1]	(8,749)	(8,983)	(7,469)	(7,422)
Capital employed	**11,584**	**10,235**	**10,821**	**10,807**
Average capital employed (A)		**10,862**		
Adjusted operating profit and loss[2]		2,022		
Dividends received		(1)		
Share of profits/(losses) of associates		(33)		
Normative income tax		(513)		
Adjusted result from current operations after tax (B)		**1,475**		
ROCE (B/A)		**13.6%**		

(1) Excluding the deferral of social security and tax charges granted by Covid.

(2) See Note 4 of the consolidated financial statements.

Net cost per ASK

To analyze the cost performance of each transportation activity, the Group divides the net cost of this activity by the capacity produced, expressed in ASK for the passenger business and Transavia, and in ATK for the cargo business. To analyze the Company's overall cost performance, the Group uses the net cost per ASK. This net cost is obtained by dividing the total net cost by the capacity produced expressed in available seat-kilometers (ASK). The net cost is calculated by subtracting the revenues other than those generated by the three transportation activities (passenger, cargo and Transavia) from total operating expenses, excluding CO_2 quotas. The capacity produced by the two passenger transportation activities is calculated by adding the capacity of the passenger business (in ASK) to that of Transavia (in ASK).

		2026	2025 restated (1)
Operating expenses (in €m)	**A**	**16,278**	**15,177**
CO_2 quotas (in €m)	B	197	151
Other sales (in €m)	C	1,813	1,666
Net cost excl ETS (in €m)	**D=A-B-C**	**14,268**	**13,360**
Capacity produced, reported in ASK		165,552	160,297
Net cost, per ASK (in € cents)		**8.62**	**8.33**
Gross change			**3.4 %**
Currency effect on net costs (in €m)			(308)
Change at constant currencies			**5.8 %**
Fuel price effect (in €m)			656
NET COST PER ASK ON A CONSTANT CURRENCY AND FUEL PRICE BASIS EXCLUDING ETS		**8.62**	**8.55**
Change on a constant currency and fuel price basis and excluding ETS			**0.8%**

(1) See Note 4 of the consolidated financial statements.

2.1.6 CONSOLIDATED EQUITY AT JUNE 30, 2026

Equity attributable of Air France-KLM amounted to €2,787 million as of June 30, 2026 versus €2,364 million as of December 31, 2025. The €423 million increase is mainly explained by the following:

- a negative net result of €(61) million;
- the impact of the coupons on perpetual subordinated bonds for €(21) million (net of tax) ;
- the positive €506 million impact of other comprehensive income (mainly explained by the change in the fair value of fuel hedges.).

2.1.7 AIR FRANCE-KLM PARENT COMPANY RESULTS

Air France-KLM's revenues includes royalties paid by the two operating subsidiaries for use of the Air France-KLM logo and the supply of services invoiced to Air France and KLM. Its expenses mostly comprise financial communication expenses, Statutory Auditors' fees, the expenses linked to the compensation of the company officers and the staff made available by Air France and KLM.

At June 30, 2026, the operating result amounted to a loss of €(8) million (versus a gain of €6 million in 2025).

The net result was a €80 million profit, mainly due to the fiscal consolidation gain.

2.2 CONSOLIDATED FINANCIAL STATEMENTS

2.2.1 CONSOLIDATED INCOME STATEMENT

Period from January 1 to June 30 (in € millions)	Notes	**2026**	2025 restated [1]
Traffic Sales	7.2	**14,943**	13,942
Sales - Other business	7.1	**1,813**	1,666
Revenues	7.1	**16,756**	**15,608**
Fuel and CO_2 quotas	8	**(3,887)**	(3,343)
External expenses	8	**(6,370)**	(6,265)
Salaries and related costs	9	**(5,012)**	(4,841)
Taxes other than income taxes		**(107)**	(102)
Capitalized production and other operating income	10	**704**	855
Other operating expenses		**(45)**	(25)
Amortization	11	**(1,641)**	(1,564)
Reversals (additions) to provisions (leased aircraft return obligations and other provisions)	11	**85**	107
Foreign exchange (operating) gains (losses) after hedges	12	**(146)**	526
Sales of aircrafts equipment	13	**13**	(2)
Non-recurring income and expenses	13	**(7)**	(10)
Operating profit or loss		**343**	**944**
Share of profits (losses) of associates		**(15)**	(11)
Income from cash and cash equivalents		**102**	102
Foreign exchange gains (losses) derivatives and other	14	**81**	(160)
Profit or loss before financing and income taxes		**511**	**875**
Interests expenses on financial liabilities	15	**(175)**	(161)
Interests expenses of lease debt		**(169)**	(159)
Undiscounting of provisions	16	**(174)**	(173)
Foreign Exchange gains (losses), derivatives and other	17	**(51)**	195
Profit or loss before income tax		**(58)**	**577**
Income taxes	18	**(3)**	(176)
Profit or loss		**(61)**	**401**
Net income – Non-controlling interests		**72**	87
Net income – Group part		**(133)**	314
Earnings per share – Equity holders of Air France-KLM (in euros)			
• basic	19	**(0.62)**	1.09
• diluted	19	**(0.62)**	1.04

[1] See Note 4 of the notes to the financial statements.

The accompanying notes are an integral part of these consolidated financial statements.

2.2.2 CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

Period from January 1 to June 30 (in € millions)	Notes	2026	2025
Net income		**(61)**	**401**
Effective portion of changes in fair value hedge and cost of hedging recognized directly in other comprehensive income [1]		**1,299**	99
Change in fair value and cost of hedging transferred to profit or loss [2]		**(655)**	75
Exchange difference resulting from the translation		**10**	(25)
Deferred tax on items of comprehensive income that will be reclassified to profit or loss		**(167)**	(43)
Items of the recognized income and expenses of equity shares, net of tax		**5**	21
Total of other comprehensive income that will be reclassified to profit or loss		**492**	**127**
Remeasurements of defined benefit pension plans	25	**24**	40
Fair value of equity instruments revalued through OCI		**7**	1
Deferred tax on items of comprehensive income that will not be reclassified to profit or loss		**(3)**	3
Items revalued through OCI of equity shares, after tax		**(14)**	(3)
Total of other comprehensive income that will not be reclassified to profit or loss		**14**	**41**
Total of other comprehensive income, after taxes		**506**	**168**
RECOGNIZED INCOME AND EXPENSES		**445**	**569**
• Equity holders of Air France-KLM		**371**	482
• Non-controlling interests		**73**	87

[1] Including €1,341 million driven by the fuel hedges as of June 30, 2026

[2] Including €(643) million driven by the fuel hedges as of June 30, 2026 (see Note 8 "Fuel CO2 quotas and external expenses").

The accompanying notes are an integral part of these consolidated financial statements.

2.2.3 CONSOLIDATED BALANCE SHEET

ASSETS (in € millions)	Notes	**June 30, 2026**	December 31, 2025
Goodwill		**224**	223
Intangible assets		**1,220**	1,199
Flight equipment	20	**14,398**	13,651
Other property, plant and equipment	20	**1,792**	1,679
Right-of-use assets	22	**9,205**	9,452
Investments in equity associates		**235**	246
Pension assets	25	**68**	57
Other non-current financial assets		**1,312**	1,267
Non-current derivative financial assets		**221**	118
Deferred tax assets		**604**	713
Other non-current assets		**396**	278
Total non-current assets		**29,675**	**28,883**
Other current financial assets		**872**	1,360
Current derivative financial assets		**684**	33
Inventories		**1,064**	992
Trade receivables		**2,783**	2,216
Other current assets		**1,407**	1,224
Cash and cash equivalents	23	**5,091**	4,714
Assets held for sale		**31**	23
Total current assets		**11,932**	**10,562**
TOTAL ASSETS		**41,607**	**39,445**

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated balance sheet (continuation)

LIABILITIES AND EQUITY (in € millions)	Notes	**June 30, 2026**	December 31, 2025 restated [1]
Issued capital		**263**	263
Additional paid-in capital		**7,560**	7,560
Treasury shares		**(27)**	(27)
Perpetual	24.2	**1,268**	1,281
Reserves and retained earnings		**(8,413)**	(8,779)
Equity attributable to equity holders of Air France-KLM		**651**	**298**
Perpetual	24.2	**2,094**	2,026
Reserves and retained earnings		**42**	40
Equity attributable to non-controlling interests		**2,136**	**2,066**
EQUITY		**2,787**	**2,364**
Pension provisions	25	**1,679**	1,654
Non-current return obligation liability	22	**4,837**	4,554
Other non-current provision	26	**352**	264
Non-current financial liabilities	27	**7,911**	7,265
Non-current lease debt	22	**5,548**	5,487
Non-current derivative financial liabilities		**89**	199
Deferred tax liabilities		**1**	–
Other non-current liabilities	28	**709**	545
Total non-current liabilities		**21,126**	**19,968**
Current return obligation liability	22	**258**	334
Other current provision	26	**506**	808
Current financial liabilities	27	**937**	1,803
Current lease debt	22	**977**	958
Current derivative financial liabilities		**92**	255
Trade payables		**3,022**	2,723
Deferred revenue on ticket sales		**5,838**	4,264
Frequent flyer programs		**927**	921
Other current liabilities	28	**5,136**	5,047
Bank overdrafts	23	**1**	–
Total current liabilities		**17,694**	**17,113**
TOTAL LIABILITIES		**38,820**	**37,081**
TOTAL EQUITY AND LIABILITIES		**41,607**	**39,445**

[1] See Note 4 of the notes to the financial statements.

The accompanying notes are an integral part of these consolidated financial statements.

2.2.4 CONSOLIDATED STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY

(in € millions)	Equity attributable to equity holders of Air France-KLM							Equity attributable to non-controlling interests			Total
	Number of shares	Issued capital	Additional paid-in capital	Treasury shares	Perpetual bonds	Reserves and retained earnings	**Sub-Total**	Perpetual bonds	Reserves and retained earnings	**Sub-Total**	Equity
December 31, 2024	262,769,869	263	7,560	(27)	1,078	(10,638)	**(1,764)**	2,530	33	**2,563**	799
Other comprehensive income	–	–	–	–	–	168	**168**	–	–	**–**	168
Net result for the period	–	–	–	–	–	314	**314**	–	87	**87**	401
Total of income and expenses recognized	**–**	**–**	**–**	**–**	**–**	**482**	**482**	**–**	**87**	**87**	**569**
Purchase of treasury shares	–	–	–	(1)	–	–	**(1)**	–	–	**–**	(1)
Share-based payment	–	–	–	1	–	1	**2**	–	–	**–**	2
Dividends paid	–	–	–	–	–	–	**–**	–	(1)	**(1)**	(1)
Perpetual	–	–	–	–	500	(6)	**494**	(524)	–	**(524)**	(30)
Coupons on perpetual	–	–	–	–	(24)	(41)	**(65)**	83	(83)	**–**	(65)
Tax on coupons on perpetual	–	–	–	–	–	38	**38**	–	–	**–**	38
Other	–	–	–	–	–	(2)	**(2)**	(1)	1	**–**	(2)
June 30, 2025	**262,769,869**	**263**	**7,560**	**(27)**	**1,554**	**(10,166)**	**(816)**	**2,088**	**37**	**2,125**	**1,309**

(in € millions)	Equity attributable to equity holders of Air France-KLM							Equity attributable to non-controlling interests			Total
	Number of shares	Issued capital	Additional paid-in capital	Treasury shares	Perpetual bonds	Reserves and retained earnings	**Sub-Total**	Perpetual bonds	Reserves and retained earnings	**Sub-Total**	Equity
December 31, 2025	**262,769,869**	**263**	**7,560**	**(27)**	**1,281**	**(8,779)**	**298**	**2,026**	**40**	**2,066**	**2,364**
Other comprehensive income	–	–	–	–	–	505	**505**	–	1	**1**	506
Net result for the period	–	–	–	–	–	(133)	**(133)**	–	72	**72**	(61)
Total of income and expenses recognized	**–**	**–**	**–**	**–**	**–**	**372**	**372**	**–**	**73**	**73**	**445**
Purchase of treasury shares	–	–	–	(1)	–	–	**(1)**	–	–	**–**	(1)
Share-based payment	–	–	–	1	–	1	**2**	–	–	**–**	2
Coupons on perpetual	–	–	–	–	(13)	(42)	**(55)**	68	(68)	**–**	(55)
Tax on coupons on perpetual	–	–	–	–	–	34	**34**	–	–	**–**	34
Other	–	–	–	–	–	1	**1**	–	(3)	**(3)**	(2)
June 30, 2026	**262,769,869**	**263**	**7,560**	**(27)**	**1,268**	**(8,413)**	**651**	**2,094**	**42**	**2,136**	**2,787**

The accompanying notes are an integral part of these consolidated financial statements.

2.2.5 CONSOLIDATED STATEMENT OF CASH FLOWS

Period from January 1 to June 30 (in € millions)	Notes	2026	2025 restated [1]
Operating profit and loss		**343**	944
Amortization, depreciation and provisions	11	**1,556**	1,457
Result on disposals on tangible and intangible assets		**(13)**	2
Valuation of operating derivatives (non cash)		**3**	(7)
Unrealized operating currency differences		**138**	(518)
Other non-monetary items		**(327)**	(7)
Current income taxes		**(51)**	(73)
Cash flow from operating activities before change in working capital		**1,649**	**1,798**
Increase (Decrease) in working capital	29	**969**	**1,297**
CASH FLOW FROM OPERATING ACTIVITIES		**2,618**	**3,095**
Acquisition of subsidiaries, of shares in non-controlled entities		**(16)**	(11)
Purchase of property plant and equipment and intangible assets	21	**(1,910)**	(2,315)
Proceeds on disposal of property plant and equipment and intangible assets	13 & 28	**465**	573
Interest received		**84**	88
Dividends received		**1**	9
Decrease (increase) in net investments, more than 3 months		**255**	13
New loans		**(105)**	(146)
Repayment on loans		**356**	87
Realized Investing currency differences		**24**	(68)
NET CASH FLOW USED IN INVESTING ACTIVITIES		**(846)**	**(1,770)**
Payments to acquire treasury shares		**(1)**	(1)
Issuance of perpetual		**–**	494
Coupons on perpetual	24.2	**(55)**	(65)
Issuance of debt	27	**1,130**	314
Repayment on debt	27	**(1,440)**	(1,152)
Payments on lease debts		**(479)**	(487)
Interest paid		**(469)**	(418)
Dividends paid		**(1)**	(1)
Realized Financing currency differences		**(111)**	12
NET CASH FLOW FROM FINANCING ACTIVITIES		**(1,426)**	**(1,304)**
Effect of exchange rate on cash and cash equivalents and bank overdrafts (net of cash acquired or sold)		**30**	(30)
Change in cash and cash equivalents and bank overdrafts		**376**	**(9)**
Cash and cash equivalents and bank overdrafts at beginning of period	**23**	**4,714**	**4,829**
Cash and cash equivalents and bank overdrafts at end of period	**23**	**5,090**	**4,820**

[1] See Note 4 of the notes to the financial statements.

The accompanying notes are an integral part of these consolidated financial statements.

2.3 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 1 BUSINESS DESCRIPTION

As used herein, the term "Air France-KLM" refers to Air France-KLM SA, a limited liability company organized under French law. The term "Group" is represented by the economic definition of Air France-KLM and its subsidiaries. The Group is headquartered in France and is one of the largest airlines in the world.

The Group's core business is network activities which includes passenger transportation on scheduled flights and cargo activities. The Group's activities also include aeronautics maintenance, leisure passenger transportation (Transavia) and other air-transport-related activities.

The limited company Air France-KLM, domiciled at 7, rue du Cirque 75008 Paris – France, is the parent company of the Air France-KLM Group. Air France-KLM is listed for trading in Paris (Euronext) and Amsterdam (Euronext).

The presentation currency used in the Group's financial statements is the Euro, which is also Air France-KLM's functional currency.

NOTE 2 SIGNIFICANT EVENTS

2.1 Significant events occurring during the period

Issuance of €650 million of bonds within the EMTN program

Air France-KLM has placed €650 million of senior unsecured bonds on January 8, 2026, with a maturity of 5 years and a fixed annual coupon of 3.875% (yield of 4.033%) under its EMTN program (see Note 27 "Financial liabilities").

Competition law dispute in the air freight industry

Air France-KLM has taken note of the judgment of the Court of justice of the European Union rejecting the appeal filed against the decision of the General Court of the European Union, confirming the decision of the European Commission of March 17, 2017 against 13 cargo operators, including the Group's airlines Air France, KLM and Martinair, for past practices, considered to be anti-competitive in the air cargo sector.

The practices in question date back more than 20 years and have been subject of proceedings before the European courts, resulting in a decision that has now become final.

Air France, KLM, and Martinair thus paid, in March 2026, a total amount of €368 million (including interest). A current provision of €366 million was recorded in the financial statements of the Group (see Note 26 "Return obligation liability and provision for leased aircraft and other provisions").

This payment is restated from operating free cash flow for the calculation of the recurring operating free cash flow adjusted in the line "exceptional payments made/(received)" (see Note 6.2 "Operating free cash flow").

Repayment by KLM of the perpetual subordinated bond in Swiss francs issued in 1986

On May 15, 2026, KLM redeemed the perpetual subordinated bond in Swiss francs issued in 1986 for an amount of CHF 270 million (approximately €300 million). The tranche issued in May 1985 remains recorded within the non-current financial liabilities (see Note 27 "Financial liabilities" and Note 17 "Foreign exchange gains (losses) after hedge and others").

Situation in the Middle East

Since February 28, 2026, the war in the Middle East has affected the Group's operations, leading initially to the suspension of flights to Beirut, Dammam, Dubai, Jeddah, Medina, Riyadh and Tel Aviv. In addition, the closure of vast swathes in the airspace of the conflict zone led in longer flight times on several routes operated by the Group.

Air France and KLM are thus reallocating capacity on certain routes in line with demand. KLM and Transavia France are also adjusting their flight schedules and cancelled several flights planned for the months of May and June.

Beyond the impact of these activity suspensions and the necessary adjustments to its network, the main consequence of this crisis for the Group lies in the risk it poses to the evolution of jet fuel prices, despite the systematic hedging policy in place. Air France, KLM and Transavia have thus implemented fare increases on flights for tickets issued from March 11, 2026, in response to this price increase and the Group adjusted its hedging policy.

At this stage, and given the ongoing uncertainties regarding the outcome of the conflict, the Group is not able to quantify the impact of the current instability on its operations and financial results. In this context, the Group took some cost reduction measures.

Early redemption of €500 million sustainability-linked bonds issued in 2023

Air France-KLM has redeemed in full on April 30, 2026 the sustainability-linked bonds issued on January 16, 2023, bearing interest at 7.250% and maturing on May 31, 2026, for a total principal amount of €500 million, together with accrued interest and payment of the redemption premium of €750 per bond. This redemption was made in accordance with Condition 7.2.4 of the terms and conditions (see Note 27 "Financial liabilities").

Early redemption of €282 million notes issued in 2021

Air France-KLM redeemed in full on May 4, 2026 the notes issued on July 1, 2021, bearing interest at 3.875% and maturing on July 1, 2026, for a total principal amount of €282 million, together with accrued interest. This redemption was made in accordance with Condition 5.c. of the terms and conditions (see Note 27 "Financial liabilities").

New multi-purpose credit facility for €1 billion with a syndicate of 12 international banks

Air France-KLM has signed a new multi-purpose credit facility for an amount of €1 billion with a syndicate of 12 international banks. The facility, which can be drawn and redeemed at the issuer's full discretion, has an initial maturity in June 2028 and includes a one-year extension option at the lenders' discretion, potentially extending the maturity to June 2029.

This credit facility is undrawn as of June 30, 2026 (please see Note 27 "Financial liabilities").

Agreement with Schiphol for relocation of several KLM locations at Schiphol Centre

On 29 May 2026, KLM and Schiphol signed an agreement for the future relocation of several KLM locations at Schiphol Centre, including KLM's cargo buildings, KLM's catering building and KLM's Topside office building to other locations at Schiphol.

This agreement is part of the renewal of the airport as stipulated in the Schiphol Centre Master Plan. For KLM this creates an opportunity to develop more modern working environments for the future.

The compensation from Schiphol to KLM is approximately €0.5 billion, of which €0.3 billion has been received up to date under agreed conditions. This deferred income is presented under "other financial liabilities" (see Note 28 "Other liabilities") in the balance sheet as of 30 June 2026, and the payment received is presented under "proceeds from disposals of property, plant and equipment and intangible assets" in the cash flows statement.

The remaining €0.2 billion will be received by KLM when certain project milestones and conditions have been reached.

2.2 Subsequent events

Issuance of €500 million of bonds within the EMTN program

Air France-KLM has placed €500 million of senior unsecured bonds on June 25, 2026, with a maturity of 5 years and a fixed annual coupon of 4.250% (yield of 4.318%) under its EMTN program.

The net proceeds has been received on July 1st, 2026 will be recorded in the long-term financial liability. It has no impact on the net debt.

KLM and Gategroup reach agreement on proposed acquisition of KLM Catering Services

In March 2026, KLM and Gategroup have reached an agreement on the proposed acquisition of KLM Catering Services (KCS) by Gategroup. The completion occurred on July 1st and Gategroup now holds a 75% stake in KCS, while KLM retains a 25% interest. This step creates opportunities to invest in the future of KCS, while ensuring that KLM remains closely involved in the onboard services for its passengers.

Given that completion of the transaction occurred early July, this agreement has no impact on the Group's consolidated financial statements as of June 30, 2026.

Notification of the redemption of the 2023 super-subordinated notes for a total amount of €498 million

On July 8, 2026 Air France irrevocably notified Apollo Company of the redemption of €498 million of the 2023 super-subordinated notes on July 27, 2026.

This super-subordinated notes remain recognized in the perpetual within the equity as of June 30, 2026, as the notice was given after the reporting date (see Note 24.2 "Perpetual"). The completion of the transaction on July 27 2026 will decreased the equity and increase the net debt.

NOTE 3 ACCOUNTING POLICIES

Pursuant to the European Regulation No. 1606/2002 of July 19, 2002, the consolidated financial statements of the Air France-KLM Group as of December 31, 2025 were established in accordance with the International Financial Reporting Standards ("IFRS") as adopted by the European Union on the date these consolidated financial statements were established and which were mandatory at that date.

The condensed consolidated financial statements as of June 30, 2026 have been prepared in accordance with IAS 34 "Interim financial reporting".

The accounting policies applied for the condensed interim consolidated financial statements as at June 30, 2026 are in accordance with the accounting principles used by the Group for the consolidated financial statements 2025, except for standards and interpretations adopted by the European Union applicable as from January 1, 2026.

Furthermore, the Group has early adopted IFRS 18 "Presentation and Disclosure in Financial Statements" in its condensed consolidated interim financial statements for the period ended 30 June 2026. IFRS 18 has been applied retrospectively to the comparative information presented, in accordance with IAS 8 (see Note 4, "Implementation of IFRS 18 and restatement of the 2025 financial statements").

IFRS amendments or standards that are mandatory as from January 1, 2026 are considered as not applicable or as having no material impact on the Air France-KLM Group's financial statements.

The condensed interim consolidated financial statements as of June 30, 2026 were reviewed by the Board of Directors on July 29, 2026.

NOTE 4 IMPLEMENTATION OF IFRS 18 AND RESTATEMENT OF 2025 FINANCIAL STATEMENTS

IFRS 18, Presentation and Disclosures in Financial Statements

On April 9, 2024, the International Accounting Standards Board (IASB) issued its new standard IFRS 18, "Presentation and Disclosures in Financial Statements", aimed at improving the usefulness of information presented in the primary financial statements and the notes, enabling investors to access more transparent and comparable information.

IFRS 18 replaces IAS 1, "Presentation of Financial Statements", and amends other standards, mainly IAS 7, "Statement of Cash Flows".

The main changes relate to:

- improving the comparability of the income statement by introducing three new distinct categories of income and expenses (operating, investing and financing), and by requiring new subtotals, including operating profit;
- improving the transparency of management-defined performance measures;
- introducing rules and guidance on how to aggregate and disaggregate financial information both in the primary financial statements and in the notes.

IFRS 18 is effective for annual reporting periods beginning on or after January 1, 2027, with early application permitted from January 1, 2026. It was adopted by the European Union on February 13, 2026. The Group decided to early adopt IFRS 18 as from June 30, 2026. The application of the standard led to changes in the income statement, the balance sheet, the cash flow statement, and the related notes.

Restatement of the 2025 financial statements

All presentation changes as detailed below were applied retrospectively, allowing comparability of the financial statements for the comparative periods in accordance with IAS 8, "Accounting Policies, Changes in Accounting Estimates and Errors."

Impacts on the consolidated income statement

The main items affecting the structure and presentation of the consolidated income statement are as follows:

- the net financing cost related to defined benefit pension obligations, previously recognized in the "staff costs" line, is now presented in the line "undiscounting of provision," within profit before tax;
- foreign exchange results and impacts on derivatives, previously recognized in the line "other financial income and expenses," are now allocated to the subtotal to which they relate, within the three distinct categories of the income statement. As regards the main material liability items, the foreign exchange gain or loss arising from lease liabilities is classified within the financing section of the income statement, while that arising from return obligation liabilities is classified within its operating section;
- the share of profit or loss of equity-accounted companies, previously presented on a separate line after "Net income from fully consolidated companies," is now included in investing activities, within "Profit before financing and income tax," still on a dedicated line;

- net borrowing costs, formerly presented on an aggregated basis, are now split between the "investing" and "financing" categories of the income statement;
- dividends received, previously presented in "revenues," are now classified within the line "Foreign exchange gains (losses), on derivatives and other (investing)". Given their immaterial nature, they are not presented on a separate line in the income statement.

Furthermore, management assessed the common characteristics of income and expenses in order to determine the appropriate level of aggregation and disaggregation in accordance with the principles of IFRS 18. As a result, certain significant line items in the income statement are presented in greater detail:

- "fuel and CO_2 emission costs" are presented separately from "external charges";
- "capitalized production and other operating income" are presented separately from other operating expenses;
- "reversals (additions) to provisions (leased aircraft return obligations and other provisions)" are distinguished from "depreciation, amortization and impairment";
- "interest expense on financial debt" is distinguished from "interest expense on lease liabilities."

The Group continues to present its statement of profit or loss by nature.

Accordingly, and considering the items presented above, the impacts on the consolidated income statement as of June 30, 2025 are as follows:

Period from January to June 30 (in € millions)	2025 Released	Pension	Foreign exchange gains (losses) and derivatives	Share of profits losses) of associates	Dividends received	Other reclassification and disaggregation	2025 Restated	
Revenues	**15,608**	**–**	**–**	**–**	**–**	**–**	**15,608**	**Revenues**
		–	–	–	–	(3,343)	(3,343)	Fuel and CO_2 quotas
External expenses	(9,608)	–	–	–	–	3,343	(6,265)	External expenses
Salaries and relate costs	(4,867)	26	–	–	–	–	(4,841)	Salaries and relate costs
Taxes other than income taxes	(102)	–	–	–	–	–	(102)	Taxes other than income taxes
Other income and expenses	835	–	(6)	–	–	26	855	Capitalized production and other operating income
		–	–	–	–	(26)	(26)	Other operating expenses
Amortization and provision	(1,457)	–	–	–	–	(107)	(1,564)	Amortization
		–	–	–	–	107	107	Reversals (additions) to provisions (leased aircraft return obligations and other provisions)
		–	527	–	–	–	527	Foreign exchange (operating) gains (losses) after hedges
Sales of aircraft equipment	(2)	–	–	–	–	–	(2)	Sales of aircraft equipment
Other non-recurring income and expenses	(10)	–	–	–	–	–	(10)	Non-recurring income and expenses
Income from operating activities	**397**	**26**	**521**	**–**	**–**	**–**	**944**	**Operating profit or loss**

Period from January to June 30 (in € millions)	2025 Released	Pension	Foreign exchange gains (losses) and derivatives	Share of profits losses) of associates	Dividends received	Other reclassification and disaggregation	2025 Restated	
		–	–	(11)	–	–	(11)	Share of profits (losses) of associates
		–	(161)	–	–	–	(161)	Foreign exchange gains (losses) derivatives and other
Interests expenses	(309)	–	–	–	–	309		
Income from cash and cash equivalents	102	–	–	–	–	–	102	Income from cash and cash equivalents
		26	**360**	**(11)**	**–**	**309**	**874**	**Profit before financing and income taxes**
		–	–	–	–	(161)	(161)	Interests expenses on financial liabilities
		–	–	–	–	(159)	(159)	Interests expenses of lease debt
		(26)	–	–	–	(147)	(173)	Undiscounting
		–	185	–	–	11	196	Foreign Exchange gains (losses), derivatives and other
Other financial income and expenses	398	–	(545)	–	–	147		
Income before income taxes	**588**	**–**	**–**	**(11)**	**–**	**–**	**577**	**Profit or loss before income taxes**
Income taxes	(176)	–	–	–	–	–	(176)	Income taxes
Share of profits (losses) of associates	(11)	–	–	11	–	–		
Net result	**401**	**–**	**–**	**–**	**–**	**–**	**401**	**Net result**

Impacts on the Consolidated Cash Flow Statement

The cash flow statement now follows a mixed structure, starting with the operating profit or loss, from which non-cash items are deducted and to which cash-impact items are added, to arrive at cash flows from operating activities.

The standards also provides clarifications on the classification of certain cash flows that were subject to interpretation under IAS 7:

- interest received is classified under investing activities, while interest paid is classified under financing activities.
- dividends received are classified under investing activities, while dividends paid are classified under financing activities.

The standards thus specify the categories in which these flows must be presented to enhance comparability. This approach had already been anticipated by the Group and therefore entails no change.

The impacts on the cash flow statement as of June 30, 2025, are as follows:

Period from January to June 30 (in € millions)	2025 Released	Changes resulting from the new starting point (operating profit and loss)	Reclassification of the currency differences and others	2025 Restated	
Net income	401	475	68	944	Operating profit and loss
Amortization, depreciation and operating provisions	1,457	–	–	1,457	Amortization, depreciation and provisions
Financial provisions	150	(150)	–	–	
Cost of net debt	206	(206)	–	–	
Loss (gain) on disposals of tangible and intangible assets	2	–	–	2	Result on disposals on tangible and intangible assets
Derivatives – non monetary result	(2)	(5)	–	(7)	Valuation of operating derivatives (non cash)
Unrealized foreign exchange gains and losses, net	(616)	98	–	(518)	Unrealized operating currency differences
Share of (profits) losses of associates	11	(11)	–	–	
Deferred taxes	103	(176)	–	(73)	Current income tax
Other non-monetary items	18	(25)		(7)	Other non-monetary items
Cash flow from operating activities before change in working capital	**1,730**	**–**	**68**	**1,798**	**Cash flow from operating activities before change in working capital**
Change in working capital requirement	**1,297**	**–**	**–**	**1,297**	**Change in working capital requirement**
CASH FLOW FROM OPERATING ACTIVITIES	**3,027**	**–**	**68**	**3,095**	**CASH FLOW FROM OPERATING ACTIVITIES**
Acquisition of subsidiaries, of shares in non-controlled entities	(11)	–	–	(11)	Acquisition of subsidiaries, of shares in non-controlled entities
Purchase of property plant and equipment and intangible assets	(2,315)	–	–	(2,315)	Purchase of property plant and equipment and intangible assets
Proceeds on disposal of property plant and equipment and intangible assets	573	–	–	573	Proceeds on disposal of property plant and equipment and intangible asset
Interest received	88	–	–	88	Interest received
Dividends received	9	–	–	9	Dividends received
		–	(146)	(146)	New loans
		–	87	87	Repayment on loans
		–	(68)	(68)	Realized Investing currency differences
Decrease (increase) in net investments, more than 3 months	14	–	–	13	Decrease (increase) in net investments, more than 3 months
NET CASH-FLOW USED IN INVESTING ACTIVITIES	**(1,642)**	**–**	**(127)**	**(1,770)**	**NET CASH-FLOW USED IN INVESTING ACTIVITIES**
Payments to acquire treasury shares	(1)	–	–	(1)	Payments to acquire treasury shares
Issuance of perpetual	494	–	–	494	Issuance of perpetual
Coupons on perpetual	(65)	–	–	(65)	Coupons on perpetual
Issuance of debt	314	–	–	314	Issuance of debt
Repayment on debt	(1,152)	–	–	(1,152)	Repayment on debt
Payments on lease debts	(487)	–	–	(487)	Payments on lease debts
New loans	(146)	–	146		
Repayment on loans	87	–	(87)		
		–	10	10	Realized Financing currency differences
Interest paid	(407)	–	(10)	(418)	Interest paid
Dividends paid	(1)	–	–	(1)	Dividends paid

NET CASH-FLOW FROM FINANCING ACTIVITIES	**(1,364)**	**–**	**59**	**(1,304)**	**NET CASH-FLOW FROM FINANCING ACTIVITIES**
Effect of exchange rate on cash and cash equivalents and bank overdrafts (net of cash acquired or sold)	(30)	–	–	(30)	Effect of exchange rate on cash and cash equivalents and bank overdrafts (net of cash acquired or sold)
Change in cash and cash equivalents and bank overdrafts	**(9)**	**–**	**–**	**(9)**	**Change in cash and cash equivalents and bank overdrafts**
Cash and cash equivalents and bank overdrafts at beginning of period	**4,829**	**–**	**–**	**4,829**	**Cash and cash equivalents and bank overdrafts at beginning of period**
Cash and cash equivalents and bank overdrafts at end of period	**4,820**	**–**	**–**	**4,820**	**Cash and cash equivalents and bank overdrafts at end of period**

Impacts on the consolidated statement of financial position

Air France-KLM decided to present "return obligations and provisions for leased aircraft" on a separate line in the consolidated statement of financial position, given their significant amount. The application of IFRS 18 has not resulted in any other significant changes in the presentation of the consolidated statement of financial position.

Performance measures used and communicated by the Group

With regard to the performance measures used and communicated by the Group, "Adjusted EBITDA" and "Adjusted operating result" replace "Recurring EBITDA" and "Recurring operating result," respectively. They remain comparable in terms of content, as the reclassifications made do not have a significant impact on these aggregates.

These two aggregates are not presented in the Group's income statement but constitute "Management-defined performance measures (MPMs)". The reconciliation of these two aggregates with operating profit is presented in Note 6.1, "Management-defined performance measures".

NOTE 5 CHANGE IN THE CONSOLIDATION SCOPE

No significant acquisitions or disposals took place during the periods ended June 2025 and June 2026.

NOTE 6 MANAGEMENT-DEFINED PERFORMANCE MEASURES AND ALTERNATIVE PERFORMANCE MEASURES

6.1 Management-defined performance measures

The MPMs used by the Group are Adjusted EBITDA and Adjusted Operating Profit. These measures are used in the Group's public communications and reflect management's view of the Group's overall operating performance, notably excluding disposals of aeronautical equipment and non-recurring income and expenses (see Note 13, "Disposals of aeronautical equipment and other non-recurring income and expenses"), as well as unrealized foreign exchange gains or losses with an operating underlying.

They are not necessarily comparable to similarly measures presented by other Groups. For each MPM, the Group presents below the method of calculation, a reconciliation to operating profit, being the most directly comparable IFRS subtotal, as well as the tax effect and the effect on non-controlling interests of each reconciling item.

Period from January 1 to June 30	Notes	2026			2025 restated (1)		
(in € millions)		Amount before income tax impact and minority interests	Associated income tax impact (2)	Associated minority interests (3)	Amount before income tax impact and minority interests	Associated income tax impact (2)	Associated minority interests (3)
Adjusted EBITDA		**2,034**			1,888		
Amortization	Note 11	**(1,641)**	**423**	**–**	(1,564)	403	(2)
Reversals (additions) to provisions (leased aircraft return obligations and other provisions)	Note 11	**85**	**(22)**	**–**	107	(28)	–
Unrealized foreign exchange gains (losses) - operating (4)	Note 12	**(138)**	**35**	**–**	518	(134)	–
Inefficiency of hedges and trading instruments - operating	Note 12	**(3)**	**1**	**–**	7	2	–
Sales of aircraft equipment	Note 13	**13**	**(3)**	**–**	(2)	1	–
Non-recurring income and expenses	Note 13	**(7)**	**2**	**–**	(10)	3	–
Operating profit or loss	Income Statement	**343**			**944**		

(1) See Note 4 of the notes to the financial statements.
(2) The standard tax rate applicable in the various jurisdictions was applied to each legal entity's contribution to the different line items comprising this reconciliation.
(3) The ownership interest corresponding to the consolidation scope was applied to each legal entity's contribution to the different line items comprising the reconciliation.
(4) This aggregate gives rise to temporal volatility, notably due to fluctuations in the euro/dollar exchange rate, which does not indicate the final monetary impact when the costs are actually incurred.

Period from January 1 to June 30	Notes	2026			2025		
					restated [1]		
(in € millions)		Amount before income tax impact and minority interests	Associated income tax impact [2]	Associated minority interests [3]	Amount before income tax impact and minority interests	Associated income tax impact [2]	Associated minority interests [3]
Adjusted operating profit		**478**			431		
Unrealized foreign exchange gains (losses) - operating [4]	Note 12	**(138)**	**35**	**–**	518	(134)	–
Inefficiency of hedges and trading instruments - operating	Note 12	**(3)**	**1**	**–**	7	(2)	–
Sales of aircraft equipment	Note 13	**13**	**(3)**	**–**	(2)	1	–
Non-recurring income and expenses	Note 13	**(7)**	**2**	**–**	(10)	3	–
Operating profit or loss	Income Statement	**343**			**944**		

(1) See Note 4 of the notes to the financial statements.
(2) The standard tax rate applicable in the various jurisdictions was applied to each legal entity's contribution to the different line items comprising this reconciliation.
(3) The ownership interest corresponding to the consolidation scope was applied to each legal entity's contribution to the different line items comprising the reconciliation.
(4) This aggregate gives rise to temporal volatility, notably due to fluctuations in the euro/dollar exchange rate, which does not indicate the final monetary impact when the costs are actually incurred.

6.2 Operating free cash flow

Period from January 1 to June 30	Notes	2026	2025
(in € millions)			restated [1]
Net cash flow from operating activities	Statement of cash flows	**2,618**	3,095
Purchase of property plant and equipment and intangible assets	Statement of cash flows	**(1,910)**	(2,315)
Proceeds on disposal of property plant and equipment and intangible assets	Statement of cash flows	**465**	573
Operating free cash flow		**1,173**	**1,353**
Interest paid	Statement of cash flows	**(469)**	(418)
Interest received	Statement of cash flows	**84**	88
Payments on lease debts	Statement of cash flows	**(479)**	(487)
Adjusted operating free cash flow		**309**	**536**
Exceptional payments made/(received) [2]		**619**	244
Recurring adjusted operating free cash flow		**928**	**780**

[1] See Note 4 of the notes to the financial statements.

[2] Exceptional payments made/(received), restated from operating free cash flow for the calculation of recurring operating free cash flow adjusted, correspond to the repayment of deferred social charges, pensions contributions and wage taxes granted during the Covid period, as well as the payment of the Cargo fine (see Note 2.1 "Significant events occurring during the year").

6.3 Net debt

(in € millions)	Notes	As of June 30, 2026	As of December 31, 2025
Current and non-current financial liabilities	27	**8,848**	9,068
Current and non-current lease debt	22	**6,525**	6,445
Accrued interest	22 & 27	**(82)**	(142)
Deposits related to financial liabilities		**(79)**	(85)
Deposits related to lease debt		**(81)**	(80)
Derivatives impact on debt		**12**	44
Gross financial liabilities (I)		**15,143**	**15,250**
Cash and cash equivalents	23	**5,091**	4,714
Marketable securities > 3 months		**733**	988
Bonds	23	**944**	1,156
Bank overdrafts	23	**(1)**	–
Net cash (II)		**6,767**	6,858
NET DEBT (I-II)		**8,376**	**8,392**

As of June 30, 2026, net cash and cash equivalents included €58 million (compared with €426 million as of December 31, 2025) pledged or blocked. The variation relates to the end of the competition law dispute in the air freight industry (see Note 2.1 "Significant events occurring during the period").

In addition, the Group has undertaken to maintain a level of cash in some operating subsidiaries. As of June 30, 2026, this represented a total amount of €700 million (unchanged compared with December 31, 2025).

Period from January 1 to June 30 (in € millions)	Notes	2026 restated [1]
Opening net debt		**8,392**
Operating free cash flow	6.2	**(1,173)**
Interest paid	Cash Flow Statement	**469**
Interest received	Cash Flow Statement	**(84)**
Paid coupon on perpetual	Cash Flow Statement	**55**
New lease debt (new and renewed contracts)		**386**
Unrealized exchange gains and losses on lease financial debt through OCI		**122**
Impact of derivatives on net debt		**(31)**
Foreign exchange difference impact on net debt		**(1)**
Variation of loans and deposits		**11**
Aircraft financing without impact on cash flow	27	**218**
Acquisition of shares in controlled and non controlled entities	Cash Flow Statement	**16**
Dividends received	Cash Flow Statement	**(1)**
Other non-monetary variations of the net debt		**(3)**
CLOSING NET DEBT		**8,376**

[1] See Note 4 of the notes to the financial statements.

The cost of net debt is as follows:

Period from January 1 to June 30 (in € millions)	Notes	2026	2025
Income from cash and cash equivalents		**102**	102
Interests expenses on financial liabilities	15	**(175)**	(161)
Interests expenses of lease debt		**(169)**	(159)
Cost of net debt		**(242)**	**(218)**

NOTE 7 INFORMATION BY ACTIVITY AND GEOGRAPHICAL AREA

Business segments (Note 7.1)

The segment information is prepared on the basis of internal management data communicated to the Executive Committee, the Group's principal operational decision-making body.

The Group is organized around the following segments:

- Network: The revenues for this segment, which includes the Passenger and Cargo network, primarily come from passenger transportation services on scheduled flights with the Group's airline code (excluding Transavia), including flights operated by other airlines under code-share agreements. They also include code-share revenues, revenues from excess baggage and airport services supplied by the Group to third-party airlines and services linked to IT systems. Network revenues also include freight carried on flights operated under the codes of the airlines within the Group and flights operated by other partner airlines under code-share agreements. Other cargo revenues are derived principally from the sale of cargo capacity to third parties and the transportation of shipments on behalf of the Group by other airlines. Management monitors the performance of both network traffic and cargo jointly, as the two activities are intrinsically linked, mainly due to the significant volume of cargo transported in the holds of passenger aircraft;
- Maintenance: Maintenance operating revenues are generated through maintenance services provided to other airlines and customers worldwide;
- Transavia: The revenues from this segment come from the "leisure" activity realized by Transavia;
- Other: The revenues from this segment come from various services provided by the Group and not covered by the three segments mentioned above.

The results of the business segments are those that are either directly attributable or that can be allocated on a reasonable basis to these business segments. Amounts allocated to business segments mainly correspond to the adjusted EBITDA, adjusted operating income and to operating profit. Other elements of the income statement are presented in the "non-allocated" column.

Inter-segment transactions are evaluated based on normal market conditions.

Geographical segments (Note 7.2)

Activity by destination

Group Traffic sales by destination are broken down into seven geographical areas:

- Metropolitan France;
- Europe (excluding France) and North Africa;
- Caribbean, West Indies, French Guyana and Indian Ocean;
- Africa (excluding North Africa), Middle East;
- North America, Mexico and French Polynesia;
- South America (excluding Mexico);
- Asia and New Caledonia.

7.1 Information by business segment

Year ended June 30, 2026 (in € millions)	Notes	Network	Maintenance	Transavia	Other	Non-allocated	Consolidation adjustments	**Total**
Passenger traffic revenues	7.2	12,192	–	1,642	–	–	–	13,834
Cargo traffic revenues	7.2	1,109	–	–	–	–	–	1,109
Other revenues [1]		589	1,224	(16)	16	–	–	1,813
External revenues		**13,890**	**1,224**	**1,626**	**16**	**–**	**–**	**16,756**
Intersegment revenues		16	1,583	2	140	–	(1,741)	–
Revenues from ordinary activities		**13,906**	**2,807**	**1,628**	**156**	**–**	**(1,741)**	**16,756**
Fuel and CO_2 quotas		(3,373)	(2)	(512)	–	–	–	(3,887)
Salaries and related costs		(3,517)	(663)	(436)	(406)	–	10	(5,012)
Others		(5,285)	(1,821)	(708)	260	–	1,731	(5,823)
Adjusted EBITDA	6.1	**1,731**	**321**	**(28)**	**10**	**–**	**–**	**2,034**
Depreciation and amortization for the period		(1,102)	(201)	(237)	(16)	–	–	(1,556)
Adjusted operating profit	6.1	**629**	**120**	**(265)**	**(6)**	**–**	**–**	**478**
Foreign exchange (operating) gains (losses) after hedges		(93)	(1)	(46)	(1)	–	–	(141)
Sales of aircraft equipment and other non-recurring income and expenses		7	–	–	(1)	–	–	7
Operating profit		**543**	**119**	**(311)**	**(8)**	**–**	**–**	**343**
Share of profits (losses) of associates		(18)	2	–	1	–	–	(15)
Other income and expenses from investing activities		–	–	–	–	183	–	183
Profit or loss before financing and income taxes		**–**	**–**	**–**	**–**	**–**	**–**	**511**
Income and expenses from financing activities		–	–	–	–	(569)	–	(569)
Profit or loss before income tax		**–**	**–**	**–**	**–**	**–**	**–**	**(58)**
Income taxes		–	–	–	–	(3)	–	(3)
NET INCOME		**–**	**–**	**–**	**–**	**–**	**–**	**(61)**

[1] This line includes compensation paid to clients in accordance with EU261.

Year ended June 30, 2025 restated[1]

(in € millions)	Notes	Network	Maintenance	Transavia	Other	Non-allocated	Consolidation adjustments	Total
Passenger traffic revenues	7.2	11,441	–	1,507	–	–	–	12,948
Cargo traffic revenues	7.2	994	–	–	–	–	–	994
Other revenues [2]		530	1,153	(35)	18	–	–	1,666
External revenues		**12,965**	**1,153**	**1,472**	**18**	**–**	**–**	**15,608**
Intersegment revenues		13	1,636	1	132	–	(1,782)	–
Revenues from ordinary activities		**12,978**	**2,789**	**1,473**	**150**	**–**	**(1,782)**	**15,608**
Fuel and CO_2 quotas		(2,934)	(1)	(408)	–	–	–	(3,343)
Salaries and related costs		(3,412)	(634)	(402)	(402)	–	9	(4,841)
Others		(5,096)	(1,828)	(645)	261	–	1,773	(5,535)
Adjusted EBITDA	6.1	**1,536**	**326**	**18**	**8**	**–**	**–**	**1,888**
Depreciation and amortization for the period		(1,041)	(203)	(199)	(14)	–	–	(1,457)
Adjusted operating profit	6.1	**495**	**123**	**(181)**	**(6)**	**–**	**–**	**431**
Foreign exchange (operating) gains (losses) after hedges		335	11	148	31	–	–	525
Sales of aircraft equipment and other non-recurring income and expenses		(10)	(2)	–	–	–	–	(12)
Operating profit		**820**	**132**	**(33)**	**25**	**–**	**–**	**944**
Share of profits (losses) of associates		2	(8)	–	(5)	–	–	(11)
Other income and expenses from investing activities		–	–	–	–	(58)	–	(58)
Profit or loss before financing and income taxes		**–**	**–**	**–**	**–**	**–**	**–**	**875**
Income and expenses from financing activities		–	–	–	–	(297)	–	(297)
Profit or loss before income tax		**–**	**–**	**–**	**–**	**–**	**–**	**577**
Income taxes		–	–	–	–	(176)	–	(176)
NET INCOME		**–**	**–**	**–**	**–**	**–**	**–**	**401**

[1] See Note 4 of the notes to the financial statements

[2] This line includes compensation paid to clients in accordance with EU261.

7.2 Information by geographical area

Activity by destination

TRAFFIC SALES BY GEOGRAPHICAL AREA OF DESTINATION

Year ended June 30, 2026

(in € millions)	Notes	Metropolitan France	Europe (excl. France), North Africa	Caribbean, French Guyana, Indian Ocean	Africa (excl. North Africa), Middle East	North America, Mexico, French Polynesia	South America (excl. Mexico)	Asia, New Caledonia	Total
Passenger	7.1	495	2,877	923	1,299	3,236	1,305	2,057	**12,192**
Cargo	7.1	122	206	24	134	152	131	340	**1,109**
Transavia	7.1	104	1,441	–	97	–	–	–	**1,642**
TOTAL TRANSPORTATION		**721**	**4,524**	**947**	**1,530**	**3,388**	**1,436**	**2,397**	**14,943**

Year ended June 30, 2025 (in € millions)	Notes	Metropolitan France	Europe (excl. France), North Africa	Caribbean, French Guyana, Indian Ocean	Africa (excl. North Africa), Middle East	North America, Mexico, French Polynesia	South America (excl. Mexico)	Asia, New Caledonia	Total
Passenger	7.1	545	2,735	899	1,365	3,001	1,185	1,711	**11,441**
Cargo	7.1	108	192	19	133	144	120	278	**994**
Transavia	7.1	61	1,336	–	110	–	–	–	**1,507**
TOTAL TRANSPORTATION		**714**	**4,263**	**918**	**1,608**	**3,145**	**1,305**	**1,989**	**13,942**

NOTE 8 FUEL, CO2 QUOTAS AND EXTERNAL EXPENSES

Fuel Costs and emission charges

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated(1)
Aircraft fuel	**(4,212)**	(2,983)
Hedging income / (losses)	**643**	(91)
SAF	**(121)**	(118)
CO_2 quotas	**(197)**	(151)
TOTAL	**(3,887)**	**(3,343)**

(1) See Note 4 of the notes to the financial statements

External expenses

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated(1)
Chartering costs	**(182)**	(232)
Landing fees and air route charges	**(1,143)**	(1,116)
Catering	**(479)**	(471)
Handling charges	**(1,157)**	(1,041)
Aircraft maintenance costs	**(1,742)**	(1,824)
Commercial and distribution costs	**(606)**	(568)
Other external expenses	**(1,061)**	(1,013)
TOTAL	**(6,370)**	**(6,265)**

(1) See Note 4 of the notes to the financial statements

A portion of external expenses, mainly aircraft fuel and maintenance, is sensitive to fluctuations in the US dollar exchange rate. The hedges covering this currency exposure are presented in Note 12 “Operational foreign exchange gains (losses) after hedges”.

NOTE 9 SALARIES AND NUMBER OF EMPLOYEES

SALARIES AND RELATED COSTS

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated [1]
Salaries & Wages	**(3,506)**	(3,389)
Social charges	**(686)**	(631)
Cost of pension - defined contribution schemes	**(524)**	(508)
Cost of pension - defined benefit plans - service costs	**(50)**	(53)
External staff	**(135)**	(132)
Profit sharing and participation in profits	**(58)**	(64)
Payment linked with shares	**(1)**	(1)
Others	**(52)**	(63)
TOTAL	**(5,012)**	**(4,841)**

[1] See Note 4 of the notes to the financial statements

Pension costs on defined contribution plans

The Group pays contributions to a multi-employer plan in France, the CRPN (public pension fund for crew). Since this multi-employer plan is assimilated with a French State plan, it is accounted for as a defined contribution plan in "pension costs on defined contribution plans".

All major KLM pension plans in the Netherlands are qualified as defined contribution scheme.

FULL-TIME EQUIVALENT [1]

Period from January 1 to June 30	**2026**	2025
Flight deck crew	**9,580**	9,347
Cabin crew	**23,506**	22,755
Ground staff	**47,308**	46,924
Temporary employees	**2,320**	2,361
TOTAL	**82,714**	**81,387**

[1] Calculations are made using the double-weighting method (time present over the period and working time).

NOTE 10 OTHER CURRENT OPERATING INCOME

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated [1]
Capitalized production	**600**	755
Other income	**104**	100
TOTAL	**704**	**855**

[1] See Note 4 of the notes to the financial statements

In 2025 and 2026, the line "Other income" includes in particular indemnities received from suppliers to compensate operational issues supported by the Group.

NOTE 11 AMORTIZATION, DEPRECIATION AND PROVISIONS

Period from January 1 to June 30 (in € millions)	**2026**	2025
AMORTIZATION AND DEPRECIATION		
Intangible assets	**(82)**	(89)
Flight equipment	**(674)**	(657)
Other property, plant and equipment	**(99)**	(94)
Right-of-use assets	**(786)**	(724)
Sub-Total	**(1,641)**	**(1,564)**
PROVISIONS		
Inventories	**(7)**	–
Trade receivables	**(1)**	26
Risks and contingencies	**93**	81
Sub-Total	**85**	**107**
TOTAL	**(1,556)**	**(1,457)**

In 2025 and 2026, changes in provisions were mainly explained by reversals of provisions relating to aircraft returns.

During the first half of 2026 the Group has decided to extend the amortization period for its Airbus A350, Airbus A320/A321néo and Boeing B787 (for KLM only) fleet from 20 to 25 years considering that this represents the most likely period of use for these aircraft, generating a reduction in amortization expense of €24 million over the period ended June 30, 2026.

NOTE 12 OPERATIONAL FOREIGN EXCHANGE GAINS (LOSSES) AFTER HEDGES

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated[1]
Realized foreign exchange gain/(loss)	**2**	(4)
Unrealized foreign exchange gain/(loss)	**(138)**	518
Foreign exchange hedge terminations	**(7)**	5
Financial instruments ineffectiveness	**(3)**	7
TOTAL	**(146)**	**526**

[1] See Note 4 of the notes to the financial statements

Foreign exchange gains (losses)

As of June 30, 2026, the unrealized currency loss of €(138) million is composed of an unrealized loss of €(134) million on return obligation liabilities and provisions on aircraft in US dollars.

As of June 30, 2025, the unrealized currency gain of €518 million is composed of:

- an unrealized gain of €483 million on return obligation liabilities and provisions on aircraft in US dollars;
- an unrealized gain of €37 million on other assets and liabilities of the working capital resource mainly due to US dollars.

NOTE 13 SALES OF AIRCRAFT EQUIPMENT AND NON-CURRENT INCOME AND EXPENSES

The sales of aircraft equipment and non-current income and expenses includes unusual elements that do not have predictive value due to their nature, frequency and/or materiality:

- sales of aircraft equipment and significant disposals of other assets (including sales and leaseback);
- accelerated aircraft phase-out;
- income from the disposal of subsidiaries and affiliates;
- restructuring costs when they are significant;
- modification of pension plans;
- significant and infrequent elements such as the recognition of badwill in the income statement, the recording of an impairment loss on goodwill and significant provisions for litigation.

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated [1]
Sales and leaseback	**(1)**	2
Other aeronautical sales	**14**	(4)
Sales of aeronautical assets	**13**	**(2)**
Other non-current income and expenses	**(7)**	**(10)**

[1] See Note 4 of the notes to the financial statements

Year ended June 30, 2026

Sales and leaseback

The impact of aircraft sales and leasebacks resulted in a loss of €1 million in the income statement and a result on disposal of €115 million in the cash flow statement as of June 30, 2026.

Year ended June 30, 2025

Sales and leaseback

The impact of aircraft sales and leasebacks resulted in a gain of €2 million in the income statement and a result on disposal of €558 million in the cash flow statement as of June 30, 2025.

NOTE 14 FOREIGN EXCHANGE GAINS (LOSSES) (INVESTING) AND OTHERS

Period from January 1 to June 30 (in € millions)	**2026**	2025 restated[1]
Realized foreign exchange gain/(loss)	**23**	(68)
Unrealized foreign exchange gain/(loss)	**59**	(100)
Financial instruments ineffectiveness	**(1)**	8
TOTAL	**81**	**(160)**

[1] See Note 4 of the notes to the financial statements

Foreign exchange gains (losses)

The unrealized foreign exchange result is primarily attributable to cash and cash equivalents held in US dollars.

NOTE 15 INTERESTS ON FINANCIAL LIABILITIES

Period from January 1 to June 30 (in € millions)	2026	2025 restated[1]
Interest on gross financial debt	**(174)**	(164)
Capitalized interests	**29**	32
Other non-monetary items	**(13)**	(13)
Interest rate hedge terminations	**4**	13
Other	**(21)**	(29)
TOTAL	**(175)**	**(161)**

[1] See Note 4 of the notes to the financial statements

NOTE 16 UNDISCOUNTING OF PROVISION

Period from January 1 to June 30 (in € millions)	2026	2025 restated[1]
Undiscounting on maintenance provisions	**(146)**	(147)
Net interest cost on defined benefit plans	**(28)**	(26)
TOTAL	**(174)**	**(173)**

[1] See Note 4 of the notes to the financial statements

Undiscounting of provision

The rate used to undiscount the long term return obligation liability and provision for leased aircraft and other provisions non current is 6.3% in 2026 against 6.8% in 2025.

The actuarial assumptions used in the remeasurement of retirement benefit plans are disclosed in Note 25 “Assets and retirement benefits”.

NOTE 17 FOREIGN EXCHANGE GAINS (LOSSES) (FINANCING) AFTER HEDGES AND OTHERS

Period from January 1 to June 30 (in € millions)	2026	2025 restated[1]
Realized foreign exchange gain/(loss), after hedges	**(112)**	10
Unrealized foreign exchange gain/(loss), after hedges	**57**	198
Financial instruments ineffectiveness	**6**	(10)
Others	**(2)**	(3)
TOTAL	**(51)**	**195**

[1] See Note 4 of the notes to the financial statements

Foreign exchange gains (losses)

As of June 30, 2026, the foreign exchange result from financing activities includes an unrealized currency gain of €57 million composed of an unrealized gain of €122 million on Swiss Franc offset by a realized foreign exchange loss of the same amount related to KLM’s repayment of the perpetual subordinated bond in Swiss francs issued in 1986 (see Note 2.1, “Significant events occurring during the period” and Note 27 “Financial liabilities”), an unrealized loss of €(44) on US dollar and an unrealized loss of €(16) on Japanese Yens.

As of June 30, 2025, the foreign exchange result from financing activities included an unrealized currency gain of €198 million composed of an unrealized gain of €207 million on US dollar, an unrealized gain of €19 million on Japanese Yens.

NOTE 18 INCOME TAXES

Period from January 1 to June 30 (in € millions)	**2026**	2025
Total income tax income/(expense)	**(3)**	(176)
Tax on items recognized in equity [1]	**(136)**	(2)

(1) Including €34 million of tax on coupons on perpetual as of June 30, 2026 (and €38 million as of June 30, 2025).

Period from January 1 to June 30 (in € millions)	**2026**	2025
Income before tax of consolidated companies of consolidated entities	**(43)**	588
Total income tax income/(expense)	**(3)**	(176)
Effective tax rate	**(7)%**	30 %

Effective tax rate as of June 30, 2026

The effective tax rate for Air France KLM Group is (7)% as of June 30, 2026.

It includes the exceptional contribution on the profits of large companies for the French tax group (the 2026 "Loi de finances" extended by one year the exceptional contribution on the profits of large companies introduced under the 2025 "Loi de finances"). The 2026 portion, based on 2025 corporate income tax, represents an expense of €11 million, included in the group's effective tax rate as of June 30, 2026. However, it does not take into account the recognition of any additional deferred tax asset in respect of tax loss carryforwards, particularly given the ongoing uncertainties surrounding the outcome of the conflict in the Middle East and the impacts for the Group.

The theoretical effective tax rate for the Dutch tax group remains at 25.8%.

OECD Pillar Two model rules

The Air France-KLM Group is subject to the OECD's Pillar 2 rules, following their transposition into French law and enaction for fiscal years beginning on or after December 31, 2023. Under this legislation, the Group is required to pay an additional tax for the difference between its GloBE effective tax rate (TEI GloBE) in each jurisdiction and the minimum rate of 15%.

Temporary protection schemes have been introduced for a maximum of three financial years, enabling the rules to be deferred. These schemes consist of simplified tests against the Pillar Two rules, calculated by jurisdiction and at the end of each financial year.

As of December 31, 2025, the Group has considered that it could benefit from the temporary protection schemes in almost all the jurisdictions in which it operates, except for France and Great Britain mainly due to recognition/derecognition of deferred taxes and in non-significant jurisdictions, which must therefore carry out a full calculation of TEI GloBE in accordance with the law in force and the available OECD recommendations.

The full calculation of the TEI GloBE for the jurisdictions concerned exceeded the minimum rate. Consequently, no additional tax expense had been recorded at December 31, 2025.

The Group has not identified any trigger that would reconsider the calculations made as of December 31, 2025 and does not anticipate any additional tax expense to be recognized for fiscal year 2026. Consequently, the effective tax rate forecasted for full year 2026 is not affected by Pillar 2 legislation as of June 30, 2026.

NOTE 19 EARNINGS PER SHARE

RESULTS USED FOR THE CALCULATION OF BASIC EARNINGS PER SHARE

Period from January 1 to June 30 (in € millions)	**2026**	2025
Net income for the period – Equity holders of Air France-KLM	**(133)**	314
Coupons on perpetual net after tax	**(29)**	(28)
Basic net income for the period – Equity holders of Air France-KLM	**(162)**	**286**

RESULTS USED FOR THE CALCULATION OF DILUTED EARNINGS PER SHARE

Period from January 1 to June 30	**2026**	2025
(in € millions)		
Basic net income for the period – Equity holders of Air France-KLM	**(162)**	286
Consequence of potential ordinary shares on net income: interests paid on convertible bonds (after tax)	**–**	7
Net income for the period – Equity holders of Air France-KLM (taken for calculation of diluted earnings per share)	**(162)**	**293**

RECONCILIATION OF THE NUMBER OF SHARES USED TO CALCULATE EARNINGS PER SHARE

Period from January 1 to June 30	**2026**	2025
Weighted average number of:		
• common shares issued	**262,769,869**	262,769,869
• Treasury stock held regarding stock option plan and other treasury stock	**(178,006)**	(157,547)
Number of shares used to calculate basic earnings per share	**262,591,863**	**262,612,322**
Number of potentially dilutive shares	**–**	19,996,070
Number of ordinary and potential ordinary shares used to calculate diluted earnings per share	**262,591,863**	**282,608,392**

On November 24, 2025, Air France–KLM Group redeemed the holders of last-rank indefinite subordinated bond convertible into new shares and/or existing shares. There is therefore no potential dilutive shares linked to this instrument as of June 30, 2026.

As a reminder, the number of potential dilutive shares linked to the subordinated perpetual convertible bonds, convertible into new shares and/or exchangeable into existing shares is 19,996,070 shares as of June 30, 2025. The potential conversion of these two instruments and their impact on earnings have been taken into consideration to determine diluted earning per share as of June 30, 2025.

As of June 30, 2026, taking into account the above items, the basic earnings per share amounts to €(0.62) and the diluted earnings per share amounts to €(0.62).

NOTE 20 TANGIBLE ASSETS

(in € millions)	Flight equipment				Other tangible assets					**Total**
	Owned aircraft	Assets in progress	Other	Total	Land and buildings	Equipment and machinery	Assets in progress	Other	Total	
GROSS VALUE										
December 31, 2025	**19,026**	**2,707**	**3,352**	**25,085**	**2,984**	**1,163**	**349**	**1,130**	**5,626**	**30,711**
June 30, 2026	**19,774**	**2,806**	**3,439**	**26,019**	**3,012**	**1,192**	**459**	**1,130**	**5,793**	**31,812**
DEPRECIATION										
December 31, 2025	**(10,415)**	**–**	**(1,019)**	**(11,434)**	**(2,159)**	**(861)**	**–**	**(927)**	**(3,947)**	**(15,381)**
June 30, 2026	**(10,548)**	**–**	**(1,073)**	**(11,621)**	**(2,188)**	**(881)**	**–**	**(932)**	**(4,001)**	**(15,622)**
NET VALUE										
December 31, 2025	**8,611**	**2,707**	**2,333**	**13,651**	**825**	**302**	**349**	**203**	**1,679**	**15,330**
June 30, 2026	**9,226**	**2,806**	**2,366**	**14,398**	**824**	**311**	**459**	**198**	**1,792**	**16,190**

The flight equipment include €218 million corresponding to new owned aircraft without cash outflow in 2026 (see Note 27 “Financial liabilities”).

NOTE 21 CAPITAL EXPENDITURES

The detail of capital expenditures on tangible and intangible assets presented in the consolidated cash flow statements is as follows:

Period from January 1 to June 30	**2026**	2025
(in € millions)		
Acquisition of flight equipment	**1,636**	2,059
Acquisition of other tangible assets	**144**	151
Acquisition of intangible assets	**107**	108
Change in fixed assets liabilities	**23**	(3)
TOTAL	**1,910**	**2,315**

NOTE 22 RIGHT-OF-USE ASSETS, LEASE DEBT AND RETURN OBLIGATION LIABILITY AND PROVISION FOR LEASED AIRCRAFT

The table below presents the right-of-use assets per category:

(in € millions)	Aircraft	Maintenance	Land & Real Estate	Others	**Total**
NET VALUE					
December 31, 2025	**5,266**	**3,431**	**688**	**67**	**9,452**
June 30, 2026	**5,152**	**3,304**	**676**	**73**	**9,205**

The table below presents the lease debt per category:

(in € millions)	**As of June 30 2026**			As of December 31 2025		
	Non- current	**Current**	**Total**	Non- current	Current	Total
Lease debt – Aircraft	**4,704**	**771**	**5,475**	4,632	744	5,376
Lease debt – Aircraft spare parts	**86**	**43**	**129**	92	48	140
Lease debt – Real estate	**695**	**122**	**817**	704	122	826
Lease debt – Other	**63**	**17**	**80**	59	17	76
Accrued interest	**–**	**24**	**24**	–	27	27
TOTAL – LEASE DEBT	**5,548**	**977**	**6,525**	**5,487**	**958**	**6,445**

The table below presents the return obligation liability and provision for leased aircraft:

(in € millions)	Return obligation liability on leased aircraft	Maintenance on leased aircraft	**Total**
Amount as of January 1, 2025	**4,572**	**169**	**4,741**
Of which: Non-current	*4,163*	*153*	*4,316*
Current	*409*	*16*	*425*
Amount as of December 31, 2025	**4,701**	**186**	**4,887**
Of which: Non-current	*4,381*	*173*	*4,554*
Current	*321*	*13*	*334*
Amount as of June 30, 2026	**4,937**	**159**	**5,096**
Of which: Non-current	*4,683*	*154*	*4,837*
Current	*253*	*5*	*258*

The discount rate used to calculate these restitution liabilities and provisions is 6,3% as of June 30, 2026 against 6,8% as of June 30, 2025 (see Note 16 "Undiscounting of provision").

The provisions cover costs in euros and in US dollars; therefore, the discount rate is weighted in the same proportions between the two risk-free rates: 2,29% for the euro and 3,69% for the dollar. In addition, a spread of 3,08% is added.

NOTE 23 CASH, CASH EQUIVALENTS AND BANK OVERDRAFT

(in € millions)	As of June 30 2026		As of December 31 2025	
	Total	**Of which: pledged or secured**	Total	Of which: pledged or secured
Liquidity funds (SICAV) (assets – debt instruments)	**1,299**	**2**	1,203	7
Bank deposits (assets – debt instruments) and term accounts	**1,389**	**–**	1,526	–
Cash in hand	**2,403**	**–**	1,985	–
Cash and cash equivalents	**5,091**	**2**	**4,714**	**7**
Bank overdrafts	**1**	**–**	–	–
CASH, CASH EQUIVALENTS AND BANK OVERDRAFTS	**5,090**	**2**	**4,714**	**7**

NOTE 24 EQUITY

24.1 Issued capital & additional paid-in capital

As of June 30, 2026, the issued capital of Air France-KLM comprised 262,769,869 fully paid-up shares with a par value of €1 and the share capital of the Air France-KLM Group amounts to €263 million.

Each share is entitled to one vote. However, since April 3, 2016, shareholders who have owned their shares for at least two years have benefited from double voting rights.

Breakdown of the share capital and voting rights

The breakdown of the share capital and voting rights is as follows:

	% of capital		% of voting rights	
	As of June 30, 2026	As of December 31, 2025	**As of June 30, 2026**	As of December 31, 2025
French State	**28.0**	28.0	**28.9**	28.9
Dutch State	**9.1**	9.1	**12.8**	12.8
CMA CGM	**8.8**	8.8	**12.3**	12.3
China Eastern Airlines	**4.6**	4.6	**6.4**	6.4
Employees and former employees	**3.0**	3.0	**4.1**	4.2
Delta Air Lines	**2.8**	2.8	**3.9**	3.9
SPAAK[1]	**0.9**	0.9	**1.2**	1.2
Treasury shares	**0.1**	0.1	**–**	–
Public	**42.8**	42.8	**30.4**	30.3
TOTAL	**100**	**100**	**100**	**100**

[1] Stichting Piloten Aandelen Air France-KLM.

The line "Employees and former employees" includes the shares held by employees and former employees identified in the "Fonds communs de placement d'entreprise (FCPE)".

As of June 30, 2026, all securities have been issued and paid up.

22.2 Perpetual

(in € millions)		December 31, 2025	Repayment – Nominal	Issuance – Nominal	Monetary change – Coupons	Non-monetary change	**June 30, 2026**
2023 perpetual super-subordinated bonds	Nominal	727	–	–	–	–	**727**
	Coupons	44	–	–	(55)	27	**16**
Subordinated bonds 2025	Nominal	500	–	–		–	**500**
	Coupons	10			–	15	**25**
TOTAL PERPETUAL – ATTRIBUTABLE TO EQUITY HOLDERS OF AIR FRANCE-KLM		**1,281**	**–**	**–**	**(55)**	**42**	**1,268**
July 2023 perpetual super-subordinated bonds (1)	Nominal	498	–	–	–	–	**498**
	Coupons	17	–	–	–	18	**35**
November 2023 perpetual super-subordinated bonds	Nominal	1,493	–		–		**1,493**
	Coupons	18	–	–	–	50	**68**
TOTAL PERPETUAL – NON-CONTROLLING INTERESTS		**2,026**	**–**	**–**	**–**	**68**	**2,094**
Total cash flows			–	–	(55)		

(1) On July 8, 2026 Air France irrevocably notified Apollo Company of the redemption of €498 million of the 2023 super-subordinated notes on July 27, 2026 (see Note 2.1 "Subsequent events").

NOTE 25 PENSION ASSETS AND RETIREMENT BENEFITS

As of June 30, 2026, the discount rate used by the Group's entities to calculate the defined benefits obligations are the following:

	As of June 30, 2026	As of December 31, 2025
Euro zone - duration 8 to 15 years	**3.91 %**	3.75 %
UK - duration 13 years	**5.95 %**	5.55 %

The inflation rates used are the following:

	As of June 30, 2026	As of December 31, 2025
Euro zone - duration 8 to 15 years	**2.10 %**	2.00 %
UK - duration 13 years	**2.95 %**	2.95 %

The 8 to 15 years duration rate mainly concerns the plans located in France.

As of June 30, 2026 the remeasurement of defined benefit pension obligation accounted for in the consolidated statement of comprehensive income is composed of (before tax):

As of June 30	**2026**	2025
Income (expense) linked with the change in discount rate	**40**	46
Income (expense) linked with the change in inflation rate	**(16)**	11
Difference between the expected and actual return on assets	**–**	(17)
TOTAL	**24**	40

Net of tax, the remeasurement of defined benefit pension obligation amounts to €18 million.

The impact of variations in discount rates on the defined benefit obligation has been calculated the sensitivity analysis of the defined benefit pension obligation. The sensitivity analysis is outlined in the note 29.2 to the consolidated financial statements for the year ended December 31, 2025.

NOTE 26 OTHER PROVISIONS

(in € millions)	Restructuring	Litigation	Provisions for CO_2 quota surrenders [1]	Others	Total
Amount as of January 1, 2025	**87**	**464**	**250**	**132**	**933**
Of which: Non-current	*–*	*69*	*–*	*108*	*177*
Current	*87*	*395*	*250*	*24*	*756*
Amount as of December 31, 2025	**104**	**472**	**326**	**171**	**1,073**
Of which: Non-current	*–*	*72*	*43*	*149*	*264*
Current	*104*	*400*	*283*	*21*	*808*
Amount as of June 30, 2026	**94**	**96**	**509**	**158**	**857**
Of which: Non-current	*–*	*72*	*143*	*137*	*352*
Current	*94*	*24*	*366*	*22*	*506*

[1] Provisions and reversals are presented under the change in working capital resource section in the cash flow statement see note Note 29 "Breakdown of the change in working capital resource"

The movements in provisions for litigation and other risks and charges with an impact on the income statement are booked in the lines of the income statement corresponding to the nature of the expenses.

26.1 Provisions

26.1.1 Restructuring provisions

The movements in restructuring provisions with a significant impact on the income statement are booked in "Other non-recurring income and expenses" (see Note 13 "Sales of aircraft equipment and non-current income and expenses").

26.1.2 Litigation

In the normal course of its activities, the Air France-KLM Group, its subsidiaries Air France and KLM (and their subsidiaries) are involved in litigation cases, some of which may be significant.

An assessment of litigation risks with third parties has been carried out with the Group's attorneys and provisions have been recorded whenever circumstances require.

The provisions for disputes also include provisions for tax contingencies that are not covered by IAS 12. Such provisions are created when the Group estimates, in the context of tax audits, that the tax authorities may challenge a tax position taken by the Group or one of its subsidiaries.

26.1.3 Litigation concerning anti-trust laws in the air-freight industry

Air France, KLM and Martinair, a wholly-owned subsidiary of KLM since January 1, 2009, have been involved, since February 2006, with up to twenty-five other airlines in investigations initiated by some antitrust authorities around the world, with respect to allegations of anti-competitive agreements or concerted actions in the air freight industry.

As of December 31, 2021, most of these investigations had been terminated following the entry into plea agreements between the three companies of the Group and the appropriate competition authorities, providing for the payment of settlement amounts or fines, with the exception of the proceeding initiated by the European Commission which is still pending.

In Europe, the decision of the European Commission of 2010 against eleven air cargo carriers, including the companies of the Group, Air France, KLM and Martinair, was annulled by the General Court of the European Union on December 16, 2015 because it contained a contradiction regarding the exact scope of the practices sanctioned. On March 17, 2017, the European Commission issued a new decision against the aforementioned cargo carriers, including Air France, KLM and Martinair. The total amount of fines imposed in respect of this decision at the Air France-KLM Group level was €339 million. This amount was slightly reduced by €15.4 million as compared to the initial decision owing to a lower fine for Martinair due to technical reasons. On May 29 and 30, 2017, the Group companies filed an appeal against this decision before the General Court of the European Union. The hearings before the General Court took place on June and July 2019.

The General Court decision in March 2022 confirmed the fines against Air France-KLM Group companies. The Group companies lodged appeals to the European Union Court of Justice and hearings were held before the European Court of Justice in 2024. In its opinion on September 2024, the Advocate General proposed to the court to dismiss the appeals. Final judgment of the European Court of Justice was rendered on February 26, 2026, rejecting the appeal filed by the companies of the Group and by other concerned airlines, against the decision of the General Court of Justice of the European Union thereby confirming the decision of the European Commission of March 2017.

The total amount of the fines imposed to the companies of the Group is globally €368 million including interest.

For the records, the Group had maintained a provision of €366 million, which was consumed by the payment in full of this amount in March 2026.

26.1.4 Case brought against KLM by (former) Martinair pilots

In 2015, a case was brought against KLM by 152 (former) Martinair airline pilots, hereafter called "Vrachtvliegers". In 2016 and 2018, the District Court and Court of Appeal ruled in favor of KLM and rejected all claims of plaintiffs. In November 2019, however, the Supreme Court ruled against KLM on the basis of lack of sufficient motivation and referred the case to another Court of Appeal. On June 8, 2021, this Court of Appeal rendered its judgment in favor of the plaintiffs, the former Martinair pilots, ruling that the transfer of the cargo department qualifies as a transfer of undertaking.

According to the ruling the rights and obligations under the employment contracts of 116 Martinair pilots automatically transfer to KLM as per January 1, 2014. The Court of Appeal rejected the plaintiffs' claim to also transfer the rights regarding seniority accrued at Martinair.

Vrachtvliegers filed complaints on August 8, 2021 at the Supreme Court claiming that the rights regarding seniority accrued at Martinair should transfer to KLM. On June 24, 2022, the General Attorney has given the advice to the Supreme Court that the complaints should be rejected. On January 20, 2023, the Supreme Court ruled that this claim is denied.

The pilots also started a new court case about the implementation by KLM of the "transfer of undertaking". The hearing took place on November 15, 2023. The Court rendered a decision on January 11, 2024, in which all claims have been declined except that seniority built up within Martinair should be respected in case of dismissal (which is in line with current law). The majority (232 persons) of the Vrachtvliegers filed for appeal against the verdict. On April 21, 2026, the court hearing ("pleidooi") took place (Hof Amsterdam). The Court indicated that it would render a verdict on August 18th.

As of June 30, 2026 the provision amounted to €22 million (unchanged compared with June 30, 2025).

26.1.5 Other provisions

Other provisions relate principally to provisions for onerous contracts and provisions for the dismantling of buildings on non-freehold land.

26.2 Contingent liabilities

The Group is involved in governmental, judicial and arbitration procedures for which in some cases provisions have not been recorded in the financial statements in accordance with the applicable accounting rules.

Indeed, at this stage in these procedures, the Group is not in a position to give a reliable financial estimate of the potential loss that could be incurred in connection with these disputes.

Moreover, the Group believes that any additional disclosed information could be harmful to our legal position procedures.

26.2.1 Litigations concerning anti-trust laws in the air-freight industry

Following the initiation of various investigations by the competition authorities in February 2006 and the European Commission decision in 2010, several collective and individual actions were brought by forwarders and air-freight shippers in the civil courts against Air France, KLM and Martinair, and other cargo operators, in a number of civil jurisdictions.

Under these civil lawsuits, shippers and freight forwarders are claiming for damages to compensate alleged higher prices due to alleged competition law infringement.

For Air France, KLM and Martinair, certain civil claims are still pending in the Netherlands and in Norway.

26.2.2 Other litigations

Rio-Paris AF447 flight

On March 28, 2011, Air France and Airbus were indicted for unvoluntary manslaughter of the 228 victims who died in the crash of the AF447 Rio-Paris flight on June 1, 2009.

The investigating judges of the Court of First Instance ruled in favor of Air France and Airbus by issuing an order dismissing the case on September 4, 2019.

The Public Prosecutor's Office and most of the civil parties (including the Pilots' associations and unions) appealed this decision. The Paris Court of Appeal ruled on May 12, 2021, referring Airbus and Air France to the Criminal Court. The criminal trial took place from October 10 to December 8, 2022 at Paris Criminal Court. After an acquittal by the Public Prosecutor's Office, the Court issued a judgment of acquittal on April 17, 2023, based on the absence of a causal link between the faults found and the accident. On April 27, 2023, the Public Prosecutor's Office appealed against the acquittal of Airbus and Air France.

The Appeal proceedings took place before the Paris Court of Appeal from September 29 to November 27, 2025. The Advocate Generals requested that the judgment of the Paris Criminal Court be overturned and that a conviction for unvoluntary manslaughter be handed down against Air France and Airbus, on the grounds of criminal offenses that contributed to the accident in an indirect but certain manner.

The Paris Court of Appeal handed down its judgment on 21 May 2026. In line with the submissions of the Advocate General, the Court overturned the decision of the Paris criminal court: Air France and Airbus were each found liable for involuntary manslaughter and, accordingly, each ordered to pay an amount of EUR 225,000.

Immediately following that judgment, Airbus and then Air France announced their respective decision to lodge an appeal before the French Cour de cassation.

Such recourse has suspensive effect in respect of the payment of the fines imposed by the Paris Court of Appeal. The final decision of the French Cour de cassation is expected within 12 to

18 months from the date on which the appeal was lodged in May 2026.

Litigations on State Aid

In 2020, the implementation of the measures to reinforce the Group's liquidity (i.e. (i) a loan guaranteed by the French State (PGE) in the amount of €4 billion and a €3 billion loan from the French State, as well as (ii) a revolving credit facility of €2.4 billion guaranteed by the Dutch State and a €1 billion loan from the Dutch State), were approved by the European Commission under the Covid-19 State Aid rules (decisions respectively of May 4, 2020 and July 13, 2020), this latter decision having been replaced, after annulment for failure to state reasons, by a decision dated July 16, 2021).

On April 6, 2021, the Group announced the first part of its overall recapitalization plan. Certain measures in this plan contained State Aid (so-called "Covid-19 recapitalization" program) which were accordingly notified by the French authorities to the European Commission, the latter approving them in its decision of April 5, 2021. This decision made the approval of the measures subject to a number of commitments undertaken by the French State and leading notably to the allocation by Air France of landing and take-off slots to a designated third-party carrier at Orly airport.

Like most of the decisions with respect to airlines receiving Covid-19 State Aid, the European Commission's decisions granting support measures to Air France and KLM have been subject to annulment proceedings brought by Ryanair. On December 20, 2023 and February 7, 2024, the General Court of the European Union annulled the decisions of the European Commission mentioned above. These annulments were made solely on the grounds of an incorrect determination of the beneficiary of these aids, which, according to the judgment of the Tribunal, should have been the Group. Air France-KLM, Air France, KLM, and the European commission have lodged appeals for annulment before the Court of Justice of the European Union against the Tribunal's rulings. The Court of Justice of the European Union has yet to rule on these appeals.

Uncertainty remains as to the legal and financial consequences of cancelling the decisions approving State Aid until a final ruling is obtained from the courts of the Union.

It should be noted that, in the course of 2022 and 2023 and pursuant to the applicable legal framework, the Group repaid in full the aforementioned Covid-19 liquidity including the recapitalization State aid, which were subject to the aforementioned commitments and constraints (commitments, behavioral measures, application of interest). As a result, the Air France-KLM holding company, Air France and KLM are therefore fully released, since April 2023, from the aforementioned undertakings and constraints which had been linked to this Covid-19 recapitalization aid.

The European Commission, re-approved on July 10, 2024, the Group's liquidity support measures in a single decision, addressed to the French and Dutch States, confirming their compatibility with Union law. This decision was challenged again before the General Court of the European Union by Ryanair on April 14, 2025. Air France-KLM, Air France and KLM intervened, alongside the French and Dutch governments, in support of the European Commission's defense. The Court of Justice of the European Union has yet to rule on this appeal.

Moreover, as it has done in similar cases, the European Commission may also decide, if necessary, to initiate a formal examination procedure on the recapitalization measures, during which the Group will defend its interests to the best of its ability.

In January 2025, the Group was informed that Ryanair had filed an appeal before the Paris Administrative Court against the French State following the aforementioned 2023 and 2024 annulment rulings of the General Court of the European Union. Ryanair's request seeks to compel the State to recover any advantage granted by the State that is alleged to have not yet been reimbursed, along with illegality interest. On July 3, 2025, Air France-KLM and Air France joined as parties to defend this action with the French State. They oppose any recovery, especially given that the States complied with the rules by notifying the aid and implementing it following the Commission's approval. The proceeding is ongoing.

In April 2025, the Group was also informed of similar proceedings brought by Ryanair against the Dutch authorities concerning the decision on aid granted to KLM in 2020. The Dutch Ministry of Finance dismissed this appeal, which is now being contested before the Administrative Court of The Hague. The proceeding is ongoing.

In view of the aforementioned new approval in July 2024 as regards the liquidity aid, these appeals could give rise only to the payment of so-called "illegality interest" for the period between the granting of this aid and its new approval in July 2024 (the principal amount of liquidity aid no longer being subject to any recovery), subject to the outcome of a forthcoming judgment of the General Court of the European Union on Ryanair's new appeal of April 2025 against this July 2024 decision. In respect of recapitalization measures, a recovery of an amount to be determined could be added to the amounts already reimbursed.

If the Court of Justice of the European Union were to annul the aforementioned rulings of the General Court of the European Union, Ryanair's appeal would become moot.

Except as indicated in 26.1 and 26.2, the Company is not aware of any litigation, governmental, legal or arbitration proceedings (including any proceedings of which the issuer is aware, which are pending or which it is threatened with) which may have or have recently had a material effect on the Company's financial position, results of operations, assets or profitability, for a period covering at least the last twelve months.

NOTE 27 FINANCIAL LIABILITIES

(in € millions)	June 30, 2026			December 31, 2025		
	Non current	**Current**	**Total**	Non current	Current	Total
Perpetual subordinated loan in Yen	**108**	**–**	**108**	109	–	109
Perpetual subordinated loan in Swiss francs	**114**	**–**	**114**	402	–	402
Sustainability-linked bonds	**500**	**–**	**500**	500	500	1,000
Plain vanilla Bonds	**1,800**	**127**	**1,927**	1,150	406	1,556
Debt on leases with bargain option	**4,003**	**537**	**4,540**	3,759	585	4,344
Other financial liabilities	**1,385**	**216**	**1,601**	1,344	198	1,542
Accrued interest	**1**	**57**	**58**	1	114	115
TOTAL – FINANCIAL LIABILITIES	**7,911**	**937**	**8,848**	**7,265**	**1,803**	**9,068**

CHANGE IN FINANCIAL LIABILITY

(in € millions)	December 31, 2025	New financial debt	Reim-bursement of financial debt	Currency translation adjustment	Other [1]	**June 30, 2026**
Perpetual loan in Japanese Yen and Swiss Francs	511	–	(167)	(122)	–	**222**
Sustainability-linked bonds	1,000	–	(500)	–	–	**500**
Plain vanilla Bonds	1,556	650	(282)	3	–	**1,927**
Debt on leases with bargain option	4,344	432	(386)	35	115	**4,540**
Other financial liabilities	1,542	48	(105)	–	116	**1,601**
Accrued interest	115	–	–	1	(58)	**58**
TOTAL	**9,068**	**1,130**	**(1,440)**	**(83)**	**173**	**8,848**

[1] The "Other" column includes €218 million corresponding to the financing of owned aircraft without cash outflow (see Note 20 "Tangible assets").

Issuance of a €650 million bonds

On January 08, 2026 Air France-KLM has made the issuance of new notes for a total principal amount of €650 million with a five year maturity and bearing coupon at an annual rate of 3.875% under its Euro Medium Term Notes Program.

Repayment by KLM of the perpetual subordinated bond in Swiss francs issued in 1986

On May 15, 2026, KLM redeemed the perpetual subordinated bond in Swiss francs issued in 1986 for an amount of CHF 270 million (approximately €300 million - see Note 17 "Foreign exchange gains (losses) after hedge and others").

Early redemption of €500 million sustainability-linked bonds issued in 2023

Air France-KLM has redeemed in full on April 30, 2026 the sustainability-linked bonds issued on January 16, 2023, bearing interest at 7.250% and maturing on May 31, 2026, for a total principal amount of €500 million, together with accrued interest and payment of the redemption premium of €750 per bond.

Early redemption of €282 million notes issued in 2021

Air France-KLM redeemed in full on May 4, 2026 the notes issued on July 1, 2021, bearing interest at 3.875% and maturing on July 1, 2026, for a total principal amount of €282 million, together with accrued interest.

Maturity analysis

The financial liabilities maturities break down as follows:

(in € millions)	June 30, 2026	December 31, 2025
Maturities in		
End of Year Y	**523**	—
Y+1	**758**	1,803
Y+2	**1,206**	723
Y+3	**1,526**	1,152
Y+4	**1,207**	1,479
Over 4 years	**3,628**	3,911
TOTAL	**8,848**	**9,068**

On May 15, 2026, KLM proceeded with a full repayment of the perpetual subordinated bond in Swiss francs issued in 1986 for an amount of CHF 270 million (approximately €294 million).

The tranche issued in May 1985 remains recorded within the non-current financial liabilities. As of June 30, 2026, all the non-refundable KLM perpetual subordinated notes are included in the line "Over 4 years".

Multi-purpose Credit lines

On June 17, 2026 Air France-KLM has signed a new multi-purpose credit facility for an amount of €1 billion with a syndicate of 12 international banks. The facility, which can be drawn and redeemed at the issuer's full discretion, has an initial maturity in June 2028 and includes a one-year extension option at the lenders' discretion, potentially extending the maturity to June 2029.

In addition, certain financial covenants also apply to this credit facility:

- Interest Coverage Ratio (ICR), defined as consolidated EBITDA to consolidated net cost of financial debt. The ICR is calculated over a period of 12 months ending on the testing date. The ICR should be greater than 2.5;
- Asset Cover (AS), defined as the ratio of consolidated unsecured assets to consolidated unsecured net debt. The AS calculation should not be between 0 and 1;
- Any new unsecured financing raised by a subsidiary of the group must not represent more than 30% of the group's unsecured debt.
- The aggregate amount of the Group's liquidity (being the cash and cash equivalents of the Group on a consolidated basis) shall be at least equal to €2billion (excluding any utilisation under the Existing Facility Agreement, the KLM RCF and the present facility).

Support Credit lines

On April 18, 2023 Air France-KLM, Air France and KLM have previously signed two ESG ("Environmental, Social and Governance") KPI-Linked Revolving Credit Facilities ("RCF") with a pool of international financial institutions, for a total amount of €2.2 billion.

For each facility, a set of ESG linked Key Performance Indicators are embedded in the financing cost. These indicators are in line with Air France-KLM and the two airlines' commitment to sustainable development and a gradual decarbonization of activities. The two RCF's include a financing cost margin adjustment mechanism (upward or downward) conditional to the independent achievement of these dedicated Indicators (reduction of the unit CO_2 emission, increase of the share of SAF, among others).

Air France-KLM and Air France

Air France-KLM and Air France as combined borrowers, signed a €1.2 billion Sustainability-Linked RCF. This facility included an accordion increase option executed during the first quarter of 2024 for an amount of €90 million bringing the amount available to €1.3 billion.

The RCF also had an initial maturity in 2026 and two one-year extension options. In April 2024, one extension option has been executed, extending the maturity to 2027.

On July 18, 2024, a new amendment has been signed for Air France-KLM and Air France credit facility involving an extension of the maturity to July 2028 associated with a one-year extension option and an increase of the facility from €1.3 to €1.4 billion.

On June 27, 2025, a new amendment has been signed for Air France-KLM and Air France credit facility involving an extension of the maturity to July 2029.

In addition, certain financial covenants also apply to this credit facility:

- Interest Coverage Ratio (ICR), defined as consolidated EBITDA to consolidated net cost of financial debt. The ICR is calculated over a period of 12 months ending on the testing date. The ICR should be greater than 2.5;
- Asset Cover (AS), defined as the ratio of consolidated unsecured assets to consolidated unsecured net debt. The AS calculation should not be between 0 and 1;
- Any new unsecured financing raised by a subsidiary of the group must not represent more than 30% of the group's unsecured debt.

Moreover, some Environmental, Social and Governance ('ESG') dedicated indicators, related to reduction of the unit CO_2 emission, increase of the share of SAF and increase of females in management positions, are applicable. This results in a financing cost margin adjustment mechanism (upward or downward) conditional to the independent achievement of these dedicated indicators.

As per December 31, 2025, these financial covenants and ESG dedicated indicators were met, and no amounts have been drawn under the revolving credit facility as of June 30, 2026

KLM

KLM signed in 2023 an ESG KPI-Linked Revolving Credit Facility for an amount of €1 billion indexed to ESG (Environmental, Social and Governance) performance indicators.

This new facility has an initial 2027 maturity, includes two one-year extension options, executed in 2023 and 2025, extending the maturity to 2029.

In addition, certain financial covenants also apply to this credit facility:

- Interest Coverage Ratio (ICR), defined as consolidated EBITDA to consolidated net cost of financial debt. The ICR is calculated over a period of 12 months ending on the testing date. The ICR should be greater than 2.5;
- Asset Cover (AS), defined as the ratio of consolidated unsecured assets to consolidated unsecured net debt. The AS calculation should not be between 0 and 1;
- Guarantee Cover (GC), defined as, that at all times, the aggregate EBITDA, the aggregate revenues and the aggregates gross assets of the Company, (excluding intragroup), must exceed 75 per cent of the consolidated parameters.

Moreover, some Environmental, Social and Governance ('ESG') dedicated indicators, related to reduction of the unit CO_2 emission, increase of the share of SAF and increase of females in management positions, are applicable. This results in a financing cost margin adjustment mechanism (upward or downward) conditional to the independent achievement of these dedicated indicators.

As per December 31, 2025, these financial covenants and ESG dedicated indicators were met, and no amounts have been drawn under the revolving credit facility as of June 30, 2026.

On top of this credit line, KLM has three other credit lines amounting to €0.1 billion.

The total undrawn portion as of June 30, 2026 amounts to €3.5 billion for the Group.

NOTE 28 OTHER LIABILITIES

(in € millions)	As of June 30, 2026			As of December 31, 2025		
	Current	**Non-current**	**Total**	Current	Non-current	Total
Tax liabilities	**420**	**62**	**482**	465	181	646
Airlines taxes	**1,181**	**–**	**1,181**	1,011	–	1,011
Employee-related liabilities	**1,381**	**19**	**1,400**	1,500	55	1,555
Liabilities on fixed assets [1]	**18**	**320**	**338**	40	–	40
Deferred income	**1,220**	**218**	**1,438**	1,192	215	1,407
Prepayments received	**628**	**–**	**628**	573	–	573
Other	**288**	**90**	**378**	266	94	360
TOTAL	**5,136**	**709**	**5,845**	**5,047**	**545**	**5,592**

(1) The amount mainly corresponds to the compensation received from Schiphol. In the Cash Flow Statement this cash inflow is disclosed in the line "Proceeds on disposal of property plant and equipment and intangible assets" (see Note 2.1 "Significant events occuring during the period").

Non-current deferred income mainly relates to long-term contracts in the maintenance business.

The variation of the other liabilities as of June 30, 2026 is as follows:

(in € millions)	As of December 31, 2025	Change in working capital	Investing cash flow	Currency translation adjustment	Others	**As of June 30, 2026**
Tax liabilities	646	(144)	–	–	(20)	**482**
Airlines taxes	1,011	170	–	–	–	**1,181**
Employee-related liabilities	1,555	(155)	–	–	–	**1,400**
Liabilities on fixed assets	40	–	298	(1)	1	**338**
Deferred income	1,407	29	–	1	–	**1,438**
Prepayments received	573	40	–	15	–	**628**
Other debts	360	26	–	6	(14)	**378**
Total	**5,592**	**(34)**	**298**	**21**	**(32)**	**5,845**

NOTE 29 BREAKDOWN OF THE CHANGE IN WORKING CAPITAL

As of June 30 (in € millions)	Notes	**2026**	2025
Monetary (increase) / decrease in inventories		**(80)**	(39)
Monetary (increase) / decrease in trade receivables		**(536)**	(392)
Monetary increase / (decrease) in trade payables		**280**	(26)
Monetary increase / (decrease) in advanced ticket sales		**1,584**	1,497
Monetary increase / (decrease) in miles for loyalty program		**6**	—
Monetary (increase) / decrease in other assets		**(312)**	(277)
Monetary increase / (decrease) in other liabilities		**(34)**	403
Change in provision for CO_2 quota surrenders		**183**	135
Change in receivables/payables on fuel hedging		**(122)**	(4)
CHANGE IN WORKING CAPITAL RESOURCE	Statement of cash flow	**969**	**1,297**

The line “Monetary increase / (decrease) in other liabilities” is impacted by the reimbursement of deferred social charges during Covid.

NOTE 30 FLIGHT EQUIPMENT ORDER

Due dates of firm orders commitments for the purchase of aircraft equipment are as follows:

(in € millions)	**June 30, 2026**	December 31, 2025
2nd semester year Y (6 months)	**1,172**	–
Y+1	**2,848**	2,307
Y+2	**3,282**	3,181
Y+3	**2,853**	3,110
Y+4	**1,871**	2,933
After year Y+4	**1,168**	3,061
TOTAL	**13,194**	**14,592**

These commitments mainly relate to amounts in US dollars, converted into euros at the closing date exchange rate. All these amounts are hedged.

The number of aircraft under firm order as of June 30, 2026 decreased by 24 units compared with December 31, 2025, due to 18 aircraft deliveries and 7 orders switched to leases, and stood at 191 aircraft.

Delivery calendar as of June 30, 2026

Aircraft type	To be delivered in						
	2nd Semester (6 months)	Y+1	Y+2	Y+3	Y+4	Beyond Y+4	**Total**
LONG-HAUL FLEET – PASSENGER							
A350	6	10	10	15	5	9	**55**
LONG-HAUL FLEET – CARGO							
A350F	–	–	3	–	2	1	**6**
MEDIUM-HAUL FLEET							
A220	5	10	5	–	–	–	**20**
A320neo / A 321neo	4	24	31	22	23	2	**106**
REGIONAL FLEET							
E195-2	–	–	–	3	–	–	**3**
TOTAL	**15**	**44**	**49**	**40**	**30**	**12**	**190**

NOTE 31 RELATED PARTIES

There were no significant changes in the scope or amounts of related party transactions during the period.



03

INFORMATION AND CONTROL

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3.1 CERTIFICATION BY THE PERSON RESPONSIBLE

July 30, 2026

I attest, to the best of my knowledge, that the condensed consolidated interim financial statements are prepared in accordance with the applicable accounting standards and give a true and fair view of the assets, financial position and results of the company, as well as of all the companies included in the consolidation, and that the attached interim management report presents a true and fair view of the significant events that occurred during the first six months of the financial year, their impact on the accounts, the principal related-party transactions and a description of the principal risks and uncertainties for the remaining six months of the financial year.

Benjamin Smith

Chief Executive Officer of Air France–KLM

3.2 STATUTORY AUDITORS REPORT

AIR FRANCE-KLM S.A.

STATUTORY AUDITORS' REVIEW REPORT ON THE HALF-YEARLY FINANCIAL INFORMATION

For the period from January 1, 2026 to June 30, 2026

To the Shareholders,

In compliance with the assignment entrusted to us by your Shareholders' Meeting and in accordance with the requirements of article L. 451-1-2 III of the French Monetary and Financial Code ("Code monétaire et financier"), we hereby report to you on:

- the review of the accompanying condensed half-yearly consolidated financial statements of Air France-KLM S.A., for the period from January 1, 2026 to June 30, 2026,
- the verification of the information presented in the half-yearly management report.

These condensed half-yearly consolidated financial statements are the responsibility of the Board of Directors. Our role is to express a conclusion on these financial statements based on our review.

I - Conclusion on the financial statements

We conducted our review in accordance with professional standards applicable in France.

A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with professional standards applicable in France and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed half-yearly consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34 - standard of the IFRSs as adopted by the European Union applicable to interim financial information.

Without qualifying our conclusion, we draw your attention to the matter set out in note 4 "Implementation of IFRS 18 and Restatement of the 2025 Financial Statements" to the condensed half-yearly consolidated financial statements regarding the impacts arising from the first-time early adoption of IFRS 18 "Presentation and Disclosure in Financial Statements".

II - Specific verification

We have also verified the information presented in the half-yearly management report on the condensed half-yearly consolidated financial statements subject to our review.

We have no matters to report as to its fair presentation and consistency with the condensed half-yearly consolidated financial statements.

Done at Neuilly-sur-Seine, and Paris-La Défense, July 30, 2026

The Statutory Auditors

PricewaterhouseCoopers Audit		Deloitte & Associés	
French original signed by			
Philippe VINCENT	Amélie JEUDI DE GRISSAC	Guillaume TROUSSICOT	Loris STRAPPAZZON
Partner	Partner	Partner	Partner